



Annual Report 2008 - 09



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It is universally believed that the wheel is one of the most important, if not the most important invention in the history of mankind. The oldest wheel found in archaeological excavations is believed to be over fifty-five hundred years old. Down the centuries, the wheel has evolved significantly and has been put to an infinite number of uses from tiny mechanical watch gears to giant jet engines to simple facet calculators to computer disk drives. But the most important has been to facilitate speedy transportation of goods and people. Here, tyres have played a vital role.

CEAT Limited feels proud to be associated with this evolution of transportation.

CEAT Limited was established in the year 1958 and is one of the key players in the tyre industry in India. The Company achieved a lot in this span of time. From a modest beginning, it is now among the top tyre companies in the country- one of the very few to have a presence across all segments of the industry, be it two-wheelers or specialty tyres (weighing from a miniscule 2 kgs to over 600 kgs). We will raise the bar of our performance and take it to the next level.

Company Snapshot

The Company:

CEAT Limited was established in the year 1958 and is one of the key players in the tyre industry in India. The Company, a part of the RPG conglomerate offers the widest range of tyres to leading Original Equipment Manufacturers (OEMs) across the world and is also one of the largest tyre makers for the replacement market in India. The Company has a strong presence in the domestic as well as the international markets.

Operations:

CEAT produces over 7 million tyres a year and commands around 13% share of the Indian tyre market. The Company manufactures a wide range of tyres catering to all user segments. This includes tyres for heavy duty Trucks and Buses (T&B), Light Commercial Vehicles (LCVs), Earthmovers and Forklifts (specialty segment), Tractors, Trailers, Passenger Cars (PC), Motorcycles, Scooters and Autorickshaws. CEAT earns around 65% of its revenue from the T&B segment.

The Company currently operates 2 plants in Maharashtra, one in Bhandup and the other in Nasik. It has a robust national network consisting of 34 regional offices and over 3,500 dealers among which approximately 100 are exclusive dealers running the CEAT Shoppe outlets for passenger cars segments and ~ 96 exclusive dealers running the CEAT HUBs for Truck & Bus Segments. These initiatives have helped bring the Company closer to its customers.

Keeping pace with the demand for tyres in future, the Company is implementing a project at Halol, Gujarat with initial capacity of 90 MT per day with an outlay of approximately Rs. 500 crores. The plant is expected to be ready for commercial production during the financial year 2010-11.

Reach:

CEAT's solid brand equity has helped it to achieve a strong footprint in both the domestic and the international market. It has a presence in over 110 countries. The Company is also one of the top tyre exporter in the country with exports valued at Rs. 500 crores.

Quality Policy:

CEAT is the first tyre company in India to get the ISO/TS 16949 certification, which is a combination of ISO 9000 and QS 9000. It is a quality management system that promotes continuous improvement.

It ensures:

- The PDCA (Plan, Do, Check and Act) cycle of process approach
- Trim supply chain by preventing defects and reducing waste
- Export to almost all parts of the world
- Fundamental quality management system requirements
- Customer satisfaction

Corporate Social Responsibility:

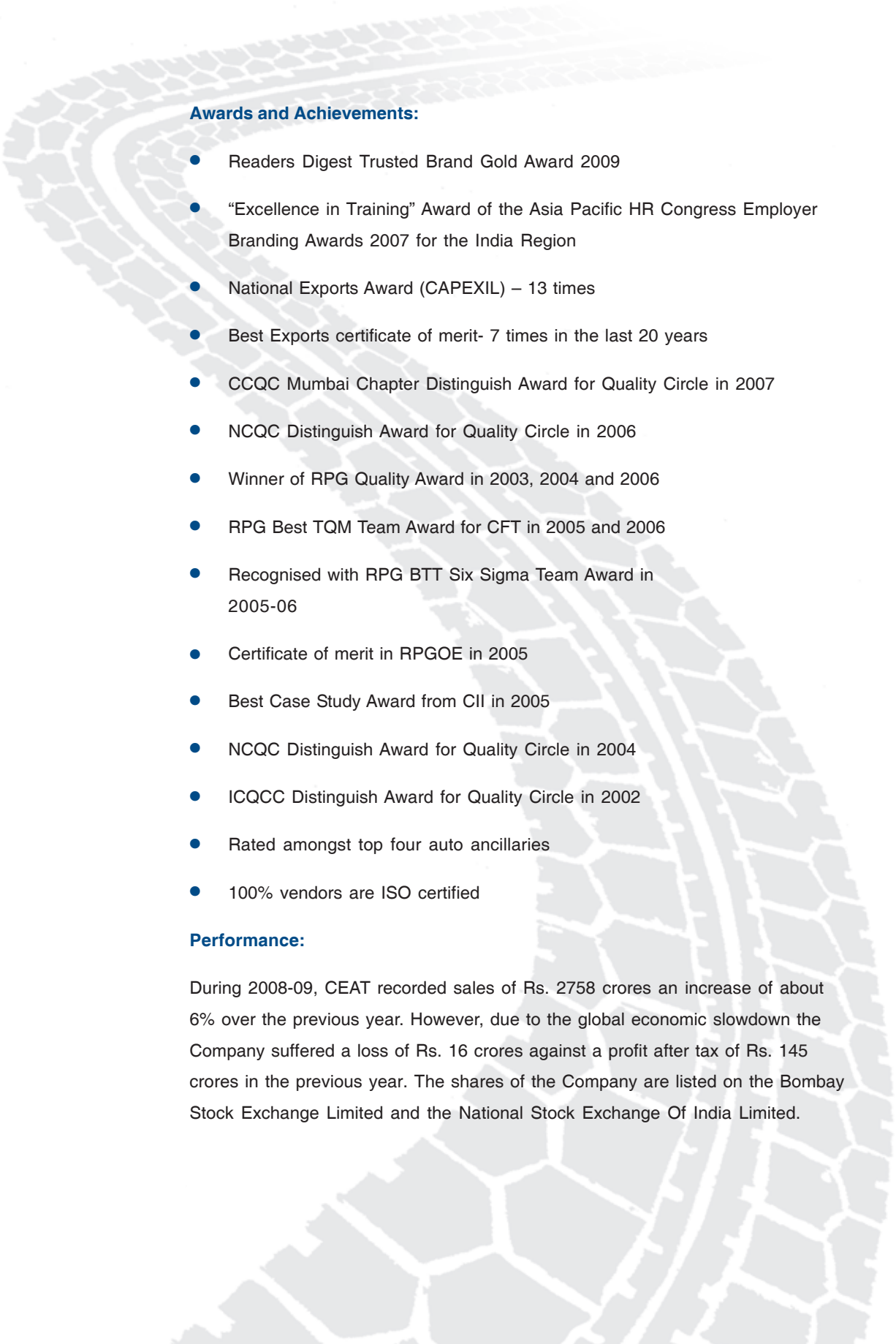
CEAT's motto is "to positively impact the lives of employees and local communities directly affected by our business".

It does this through a series of result oriented initiatives like:

- Providing opportunities for better education, health improvement and employment.
- Socio-ecological projects to promote a healthy and safe environment.
- Healthcare programmes and camps.
- Adopted the Tirat Shate village close to the plant in Nasik, where the Company undertakes various development programmes.

New Initiatives:

- **'Connect'** - a platform for state of the art communication across the employees / management.
- **'YEB'** - Identification of critical talent within the Company to unleash dynamism, innovation, discontinuity and empowerment and develop high caliber young business leader.



Awards and Achievements:

- Readers Digest Trusted Brand Gold Award 2009
- “Excellence in Training” Award of the Asia Pacific HR Congress Employer Branding Awards 2007 for the India Region
- National Exports Award (CAPEXIL) – 13 times
- Best Exports certificate of merit- 7 times in the last 20 years
- CCQC Mumbai Chapter Distinguish Award for Quality Circle in 2007
- NCQC Distinguish Award for Quality Circle in 2006
- Winner of RPG Quality Award in 2003, 2004 and 2006
- RPG Best TQM Team Award for CFT in 2005 and 2006
- Recognised with RPG BTT Six Sigma Team Award in 2005-06
- Certificate of merit in RPGOE in 2005
- Best Case Study Award from CII in 2005
- NCQC Distinguish Award for Quality Circle in 2004
- ICQCC Distinguish Award for Quality Circle in 2002
- Rated amongst top four auto ancillaries
- 100% vendors are ISO certified

Performance:

During 2008-09, CEAT recorded sales of Rs. 2758 crores an increase of about 6% over the previous year. However, due to the global economic slowdown the Company suffered a loss of Rs. 16 crores against a profit after tax of Rs. 145 crores in the previous year. The shares of the Company are listed on the Bombay Stock Exchange Limited and the National Stock Exchange Of India Limited.

Ten - Year Operating and Financial Record

(Rs. in Crores)

	08-09	07-08	06-07	05-06	04-05	03-04	02-03	01-02	00-01	99-00
OPERATING RECORD										
Sales-Gross	2758	2603	2391	1952	1780	1648	1479	1361	1190	1348
Less:Excise Duty	245	273	256	205	252	247	273	247	206	245
Miscellaneous Income	45	23	24	23	39	101	75	67	79	70
	2558	2353	2159	1770	1567	1502	1281	1181	1063	1173
Materials & Traded Goods	1798	1531	1484	1214	1060	938	749	718	605	651
Personnel Cost	161	143	128	119	109	116	116	102	90	90
Expenses	545	391#	394	346	315	328	277	237	267	297
Interest & Depreciation	91	90	92	86	86	98	110	120	115	112
Total Cost	2595	2155	2098	1765	1570	1480	1252	1177	1077	1150
Profit/(Loss) before taxation	(37)	198	61	5	(3)	22	29	4	(14)	23
As percentage of Sales (%)	(1.34)	7.61	2.55	0.27	(0.17)	1.33	1.96	0.26	1.17	1.71
Provision for Taxation incl Fringe Benfit Tax	(21)	49	22	5	(1)	8	11	2	0	3
Profit/(loss) after Taxation	(16)	149	39	0.52	(2)	14	18	2	(14)	20
Dividend	-	16	10	-	-	4	4	4	4	7
Per Share (Rs)	-	4.00	1.80	-	-	1.00	1.00	1.00	1.00	2.00
FINANCIAL RECORD										
Share Capital	34	34	46	46	35	35	35	35	35	35
Reserves & Surplus	455	479	333	303	595	589	588	551	567	593
Shareholder's Equity	489	513	379	349	630	624	623	586	602	628
Loan Funds	661	505	515	535	464	513	521	557	589	543
Capital & Loan Funds employed	1150	1018	894	884	1094	1137	1144	1143	1191	1171
Fixed Assets- Gross	1254	1218	1123	1111	905	840	823	750	769	727
Depreciation	459	428	413	385	360	331	303	262	244	221
Fixed Assets- Net	795	790	710	726	545	509	520	488	525	506
Investments	43	10	128	128	191	191	193	193	199	205
Current Assets - Net	312	218	56	30	358	437	431*	462	467	460*
Capital & Loan Funds applied	1150	1018	894	884	1094	1137	1144	1143	1191	1171

* Inclusive of Miscellaneous Expenditure to the extent not written off or adjusted

Includes Exceptional Income

Figures regrouped wherever necessary

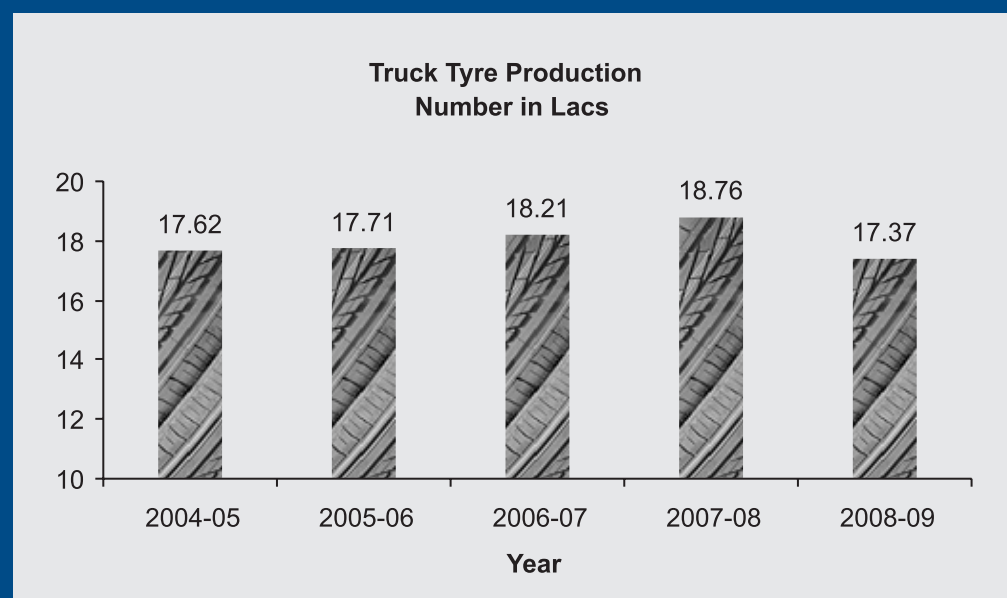
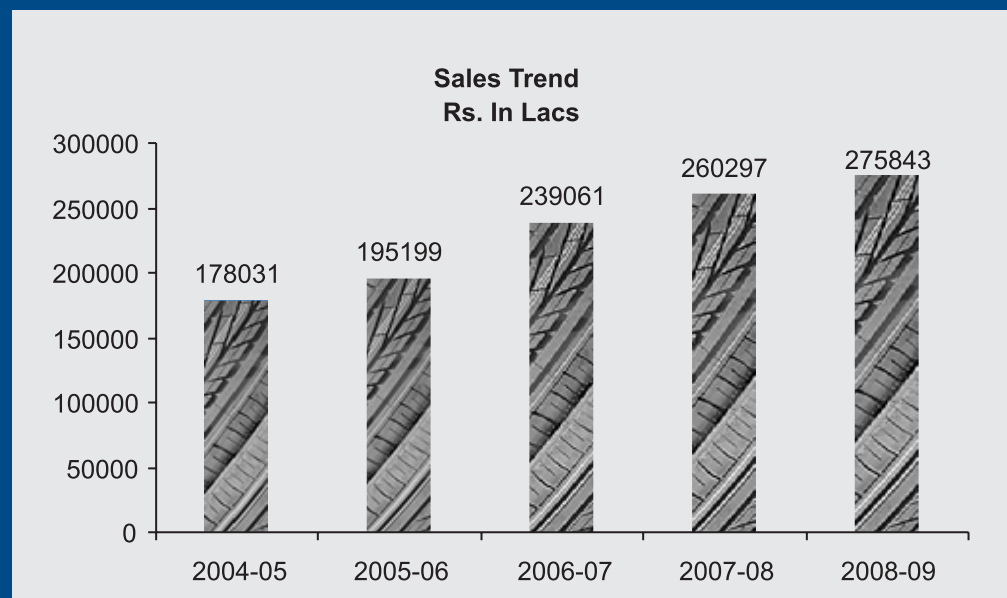
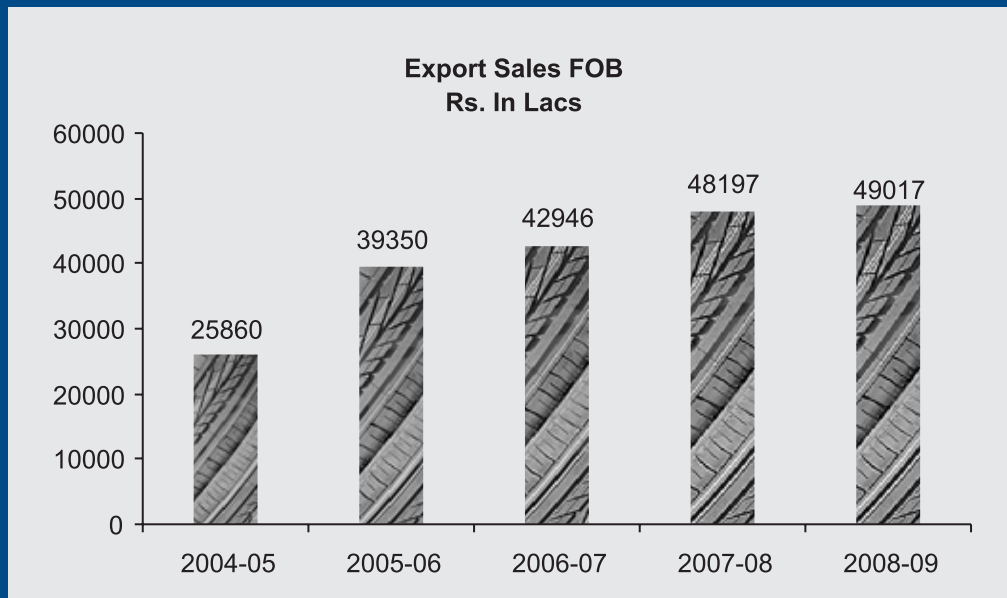
Financial Highlights

(Rs. in Lacs)

	2008-09	2007-08
Gross Sales	2,758,43.13	2,602,96.57
Profit Before Taxation	(37,17.22)	197,31.04
Profit After Taxation	(16,11.16)	148,60.44
Total Shareholders' Equity	488,38.15	513,25.73
Total Loan Funds & Deferred Tax Liability	661,44.80	504,90.26
Market Price of Equity Share (Rs.)	34.75	1,09.00
Proposed Equity Dividend (%)	—	40%*
Proposed Dividend (Aggregate)	—	16,02.49
Number of Shareholders	74,045	66,810
Personnel Cost	160,69.27	143,02.05

* Including a 'Special Golden Jubilee year' Dividend of 20%.

Performance Highlights



Corporate Information

Board of Directors:

R. P. Goenka	<i>Chairman</i>
H. V. Goenka	<i>Vice Chairman</i>
Paras K. Chowdhary	<i>Managing Director</i>
A. C. Choksey	
S. Doreswamy	
Mahesh S. Gupta	
Haigreve Khaitan	
Bansi S. Mehta	
Hari L. Mundra	
K. R. Podar	

Audit Committee:

Mahesh S. Gupta	<i>Member</i>
S. Doreswamy	<i>Member</i>
Hari L. Mundra	<i>Member</i>

Shareholders/Investors Grievance Committee:

Paras K. Chowdhary	<i>Member</i>
Mahesh S. Gupta	<i>Member</i>

Company Secretary:

H. N. Singh Rajpoot

Registered office:

CEAT Mahal, 463
Dr. Annie Besant Road, Worli,
Mumbai 400 030

Plants:

Village Road, Bhandup, Mumbai 400 078
82, MIDC, Industrial Estate, Satpur, Nashik 422 007

Legal Advisors:

Mulla & Mulla and Craige, Blunt & Caroe

Auditors:

N. M. Rajji & Company

Registrar & Share Transfer Agents:

TSR Darashaw Limited
6-10, Haji Moosa Patrawala Industrial Estate
20, Dr. E. Moses Road, Worli, Mumbai 400 011

Bankers:

Bank of Baroda
Bank of India
Corporation Bank
Exim Bank
ICICI Bank Limited
Indian Bank
Industrial Development Bank of India
State Bank of India
The Karnataka Bank Limited
UCO Bank
Yes Bank Limited

Notice

NOTICE is hereby given that the fiftieth Annual General Meeting of the Company will be held at Ravindra Natya Mandir, P. L. Deshpande Maharashtra Kala Academy, Sayani Road, Prabhadevi, Mumbai - 400 025 on Tuesday, August 25, 2009 at 3.00 p.m. to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the audited Balance Sheet as at March 31, 2009 and Profit and Loss Account for the financial year ended on that date, the Report of the Auditors thereon and the Report of the Directors.
 2. To appoint a Director in place of Mr. Mahesh S. Gupta who retires by rotation and, being eligible, has offered himself for re-appointment.
 3. To appoint a Director in place of Mr. Haigreave Khaitan who retires by rotation and, being eligible, has offered himself for re-appointment.
 4. To appoint a Director in place of Mr. K. R. Podar who retires by rotation and, being eligible, has offered himself for re-appointment.
 5. To appoint Messrs N. M. Rajji & Co., as Auditors of the Company to hold office from the conclusion of this Annual General Meeting to the conclusion of the next Annual General Meeting and to fix their remuneration.
- NOTES:**
- a) A MEMBER ENTITLED TO ATTEND AND VOTE IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND THE PROXY NEED NOT BE A MEMBER.
 - b) THE INSTRUMENT APPOINTING THE PROXY SHOULD, HOWEVER, BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LESS THAN FORTY-EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.
 - c) Members are requested to kindly refer the Chapter on Corporate Governance Report in the Annual Report for the information in respect of re-appointment/appointment of Directors, under Clause 49 of the Listing Agreement. None of the Directors seeking re-appointment hold any equity shares in the Company.
 - d) The Register of Members and the Share Transfer Books of the Company shall be closed from August 11, 2009 to August 25, 2009 (both days inclusive).
 - e) Pursuant to the provisions of Section 205A of the Companies Act, 1956, dividend for the financial year ended March 31, 2002, which remained unclaimed or unpaid for the period of seven years will be transferred to the Investor Education and Protection Fund (IEPF) established under Section 205C of the Companies Act, 1956. Members who have not encashed their dividend warrant(s) so far for the financial year ended March 31, 2002 or any subsequent financial year are requested to make their claims to the office of Registrar and Share Transfer Agents, TSR Darashaw Limited (Formerly Tata Share Registry Limited), 6-10, Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai - 400 011. It may also be noted that once the unclaimed dividend is transferred to IEPF, as above, no claim shall lie in respect thereof. The dividend for the Financial Year ended March 31, 2002, if not claimed, will be transferred to the aforesaid account on or after October 4, 2009.
 - f) For the convenience of the Members and for proper conduct of the Meeting, entry to the place of the Meeting will be regulated by the Attendance Slip, which is annexed to the Proxy Form. Members are requested to affix their signature at the place provided on the attendance slip and hand it over at the entrance.
 - g) Members can avail of the nomination facility, under Section 109A of the Companies Act, 1956 by filing Form No.2B with the Company. Blank forms will be supplied on request.

- h) **If any of the members are holding shares in the same name or in the same order of names, under different Folios, then members are requested to notify the same to TSR Darashaw Limited at 6-10, Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011 for consolidation of their shareholding into a single folio.**
- i) Members are requested to notify immediately any change of address:
- To their Depository Participants (DPs) in respect of their shares held in demat form, and
 - To TSR Darashaw Limited at 6-10, Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011, in case of the shares being held in physical form.
- j) In case the Mailing Address mentioned on this Annual Report is without a **PINCODE**, Members are requested to kindly inform their **PINCODE** please.
- Mumbai,
Date: May 29, 2009
- Under the Authority of the
Board of Directors
- Registered office:**
CEAT Mahal,
463, Dr. Annie Besant Road, Worli,
Mumbai 400 030.
- H. N. Singh Rajpoot**
Company Secretary

Directors' Report

The Directors present their fiftieth report, together with the audited accounts for the year ended March 31, 2009.

FINANCIAL HIGHLIGHTS

Rupees in crores

	For the year ended March 31, 2009	For the year ended March 31, 2008
Operating Profit (Profit before Interest, Depreciation and Taxation)	53.97	207.30
Less: Interest	65.53	56.94
Depreciation	25.62	32.99
Add: Exceptional Item (Net Income)	—	79.94
Profit before Taxation	(37.18)	197.31
Provision for:		
Current Tax	0.10	43.00
Short/ (Excess)		
provisions	(11.89)	-
Deferred Tax	(11.00)	4.03
Fringe Benefit Tax	1.73	1.68
Net Profit/(Loss)	(16.12)	148.60
Surplus brought forward from previous year	124.56	41.98
Sum available for Appropriation	108.44	190.58
Appropriations:		
Proposed Dividend on Equity Shares	—	13.70
Corporate Tax on Proposed Dividend	—	2.32
Transfer to General Reserve	—	50.00
Balance carried forward	108.44	124.56

DIVIDEND

In view of the loss suffered by the Company for the financial year ended March 31, 2009, your directors consider it prudent not to recommend a dividend. For the previous financial year

ended March 31, 2008, the dividend paid was Rs. 4.00 per share.

INDUSTRY SCENARIO

The level of economic activity and the health of automotive industry directly influence the performance of the tyre industry. The Automobile Industry had a strong growth in the last five years. However, the global financial melt down, higher raw material cost and recession have reversed the trend during the year under review. Adverse macro economic changes caused a steep fall in the demand of commercial vehicles leading to lower off take of tyres and business while vehicle manufacturers saw a significant decline in the year. The off-take for most tyre categories in the export market also declined during the said period, particularly after June 2008. However, the silver lining for the industry was the strong demand of tyres for truck and Light Commercial Vehicles (LCV) in the replacement market.

In addition to the adverse impact on revenue growth, the industry also witnessed unprecedented rise in cost of raw materials especially natural rubber and crude oil in the first nine months of the year. Energy, transportation and interest costs also hardened leading to higher cost of operations. As the entire cost push could not be passed on to customers, the industry's profitability was severely impacted during the year under review.

Auto majors have their India plans intact and are poised for launching their new brands in future. Increased transport activity, completion of major road development projects and thrust on infrastructure will also boost growth of the automobile industry which is expected to grow at a Compounded Annual Growth Rate (CAGR) of 6-7% in the next five years. Stimulus packages announced by USA, Europe, China, India and other world economies are expected to boost the demand for automobile tyres during the current year. The future of tyre industry therefore does bode well and its operating margins too are expected to recover in 2009-10.

CEAT'S PERFORMANCE

CEAT ended the year with net sales of Rs. 2514 crores as compared to Rs. 2330 crores in the previous year relating to

a growth of 8%. The OE segment and exports did not perform well during the year under review. However, this was compensated by gains in the replacement market.

The Company recognized the problem of cost push quite early and implemented innovative initiatives in manufacturing and materials, which led to productivity enhancement and cost reduction. Financing costs were kept on a very tight leash throughout the year despite increase in interest rates. As a result of these initiatives, the Company recorded a significantly improved performance in the fourth quarter.

EXPORTS

CEAT has the distinction of being one of the largest exporters of tyres with exports of Rs. 500 Crores. During the year under review, considerable product mix diversification has also been achieved and new product ranges have been introduced in the potential market segments especially farm sector. This high end range of farm products has started contributing handsomely to the bottom line.

CEAT has also made a concerted effort to move as close as possible to the end customer. This is helping the Company stay in tune with emerging trends in most export markets and to cement ties with its customers.

FUTURE OUTLOOK

The global economy in general and automobile sector in particular is slowly showing signs of revival. It is expected that demand growth will stay at a level of 6% in the domestic market in the current year.

The proposed higher spending on infrastructure is expected to have a direct consequence on tyre demand in the country for commercial applications in future. Disposable incomes and more motorable roads will lead to higher levels of personal transportation. With the entry of new small car models such as Nano, market for entry level passenger car tyres is expected to get a boost. Demand projections reflect robust growth in scooter and motorcycle segment. These developments are expected to strengthen the demand of tyres in all the three market segments viz. commercial vehicles, passenger cars and 2 wheelers.

PROJECTS

To keep pace with the demand for tyres in future the Company is in process of setting up a plant in Halol, Gujarat with initial capacity of about 90 mt per day and a planned outlay of approximately Rs. 500 crores. The plant is expected to be ready for commercial production during the financial year 2010-11.

RESEARCH & DEVELOPMENT

The Company is giving great emphasis to innovation in product and process technology and operational efficiencies. The year 2008-09 saw significant R&D efforts to develop new raw materials, products and enhancement of quality of tyres. The new products so developed have performed well in the domestic as well as international markets. Successful efforts were made in development of cheaper substitutes for costly raw materials without compromising on quality parameters. This has helped the Company to reduce cost and in optimization of material consumption.

ASSOCIATED CEAT KELANI VENTURE (Joint Venture in Sri Lanka)

For the joint venture operations in Sri Lanka, the year 2008-09 was marked by severe inflation, reduced consumer demand due to global recession and the ongoing civil war.

Notwithstanding the challenging situation in Sri Lanka, the Company maintained its market share in truck and light truck at 60%, grew Passenger radial market share from 9% to 13.5% with overall revenue of SLR 4.8 billion during 2008-09 as compared to SLR 4.9 billion in the previous year.

Despite lower revenue, the Company's net profit improved from SLR 109 million to SLR 134 million.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

A statement giving details of conservation of energy, technology absorption, foreign exchange earnings and outgo, in accordance with the Companies (Disclosure of Particulars in the Report of the Board of Directors) Rules, 1988, is annexed hereto and forms part of this report.

HUMAN RESOURCES

The Company continues to focus on performance management through leveraging Balanced Business Score Card and triggering Culture Transformation. Initiatives have also been taken towards driving productivity through Business Process Re-engineering and in developing and retaining critical talent through coaching and mentoring.

During the year under review, the Company launched two initiatives namely "Empower" and "Connect" providing a platform to the employees to connect with the management resulting in better employee engagement and higher productivity. The Company has also launched a unique initiative "Young Executive Board (YEB)" to function as a strategic cell, comprising of young managers, to bring in a fresh and young perspective to decision making.

EMPLOYEE STATEMENT

In terms of Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975, as amended, the names and other particulars of employees of the company, are required to be set out in this report. However, as per provisions of Section 219 (1) (b) (iv) of the said Act, the Annual Report excluding the aforesaid information is being sent to all the members of the Company and other entitled thereto. Members who are desirous of obtaining such particulars are requested to write to the Company.

DIRECTORS

In accordance with the Companies Act, 1956 and Articles of Association, Mr. Mahesh S. Gupta, Mr. Haigreva Khaitan and Mr. K. R. Podar retire by rotation and being eligible, have offered themselves for re-appointment.

Mr. J.N. Guzder has resigned from the Board of Directors with effect from May 11, 2009 due to his deteriorating health and advanced age. Mr. M.A. Bakre (78 years), an eminent personality, who was on the Board of the Company since 1982, left for his heavenly abode on May 24, 2009. Your Directors place on record their appreciation for the invaluable services rendered by M/s. Bakre and Guzder during their association with the Company.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 217 (2AA) of the Companies Act, 1956,

your Directors, to the best of their knowledge and belief, confirm that:

- i) the applicable Accounting Standards have been followed in the preparation of the annual accounts.
- ii) such accounting policies have been selected and applied consistently and such judgements and estimates have been made that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company in the Balance Sheet as at March 31, 2009 and of the Profit and Loss Account for the said financial year viz. April 1, 2008 to March 31, 2009.
- iii) proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- iv) the annual accounts have been prepared on a going concern basis.

CORPORATE GOVERNANCE

A report on corporate governance, along with a certificate from the auditors of the Company, regarding the compliance of conditions of corporate governance, as also the Management Discussion and Analysis Report, as stipulated under Clause 49 of the Listing Agreement, are annexed to this report.

AUDITORS

Messrs N. M. Raiji & Co., auditors of the Company, retire at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

ACKNOWLEDGEMENT

The Directors place on record their appreciation for the continued support they have received from customers, suppliers, dealers, financial institutions, banks, members, Government authorities and employees towards conducting the business of the Company during the year under review.

On behalf of the Board of Directors,

Mumbai, **H V Goenka** **Paras K Chowdhary**
 Date: May 29, 2009 *Vice Chairman* *Managing Director*

Annexure to the Directors' Report

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO.

(Pursuant to the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988)

CONSERVATION OF ENERGY

- (a) Following are the measures taken during the above period for conservation of energy.
1. Conversion of oil fired boiler to briquette fired boiler.
 2. Insulation of all hot lines and domes of presses done to avoid Radiation loss.
 3. Efficiency of Process Air compressors enhanced by 10% to save electrical energy.
 4. Chemical Cleaning done for chilled water unit.
 5. Bom water pump speed automation done using VFDs.
 6. Blower speed control using VFDs.
 7. Natural air turbine introduced in the roof for hot air exhaust.
 8. Conversion of pneumatic hoist to electric hoist.
 9. Improvement in efficiency of tube lights resulting in removal of unwanted 200 nos of tube lights.
 10. VFD Introduced in cooling tower fan motor.
- (b) Additional Investments / Proposals for reduction of consumption of energy.
1. Installation of energy efficient screw compressor in place of reciprocating compressor.
 2. Installation of electrical hoist in place of pneumatic hoist.
 3. Conversion of pneumatic carriage to electrical carriage in Bias Cutter (2 Nos.)
 4. Installation of auto feed control system of boiler using VFD.
 5. Replacement of T8 tube light with T5 tube lights in shop floor.
 6. Up-gradation of air-conditioning system.
 7. Installation of Emulsion System in Boiler.
 8. Improvement in efficiency of process air compressor through MURI Project.
- (c) Impact of the measures at (a) and (b) above for reduction of energy consumption and consequent impact on the cost of production of goods.
- The above efforts have helped in reduction of power and fuel consumption per kg. of production. However, the actual power and fuel consumption has gone up due to change in product-mix.
- (d) Total energy consumption and energy consumption per unit of production, as per Form A.

FORM "A"

	2008-09	2007-08
A. Power and Fuel Consumption		
1. ELECTRICITY		
(a) Purchased		
Units (KWH)	8,61,28,083	8,93,17,605
Total amount (Rs. crores)	41.15	38.38
Rate per unit (Rs.)	4.78	4.30
(b) Own generation		
(i) Through Diesel Generator:		
Units (KWH)	2,96,897	3,94,084
Units per /Litre of Diesel Oil (KWH)	2.75	3.00
Cost per unit (Rs.)	13.28	12.02
(ii) Through Steam / Turbine Generator		
Units (KWH)	-	-
Units per Litre of Fuel Oil /Gas (KWH)	-	-
Cost per Unit (Rs.)	-	-
2. COAL (Specify quantity & where used)		
Quantity (Tonnes)	-	-
Total Cost (Rs. in crores)	-	-
Average rate (Rs.)	-	-
3. FURNACE OIL		
Quantity (K. Ltrs)	3902	839
Total amount (Rs. in crores)	6.34	1.63
Average Rate (Rs. per Litre)	16.25	19.37
4. L.S.H.S		
Quantity (K. Ltrs)	13,184	22,057
Total amount (Rs. in crores)	33.99	38.89
Average rate (Rs. per Litre)	25.78	17.63
5. OTHER (Briquettes) /INTERNAL GENERATION (LPG & Other Gases)		
Quantity (Kgs.)	18050.08	1,787
Total Cost (Rs. in Crores)	8.19	0.68
Rate per Unit (Rs. per Kg.)	4.54	3.80
B. Consumption Per Unit Of Production		
(i) Electricity (KWH /MT.)	710.88	671.57
(ii) Furnace Oil (Ltrs. /MT)	32.09	6.28
(iii) Coal/Briquettes (Kg/MT)	148.47	13.38
(iv) L.S.H.S. (Ltrs./MT)	108.44	165.12
(v) Others		

NOTE: The increase in consumption of Electricity (KWH/MT), Furnace Oil (Ltrs. /MT) and L.S.H.S. (Ltrs./MT) is due to change in product-mix.

TECHNOLOGY ABSORPTION**FORM "B"****Research & Development (R & D)****1. Specific areas in which R & D activities were carried out by the Company –**

- Evaluation and application of new materials
- Development of alternate formulas for flexibility in using natural and synthetic rubbers
- Development of new compounds for performance enhancement in tyres
- Design creation for performance enhancement in tyres
- Development of new sizes for OEM's, and Replacement market
- Development of Specialty tyres for European markets
- Value engineering projects
- Process design for productivity and energy saving
- Cycle time reductions
- Development of new test methods
- Providing technical know-how to –
 - Associated CEAT (Private) Ltd., Sri Lanka
 - Associated CEAT Kelani Radials (Private) Ltd., Sri Lanka
 - CEAT Kelani International Tyres (Private) Ltd., Sri Lanka
 - ACE Tyres Limited, Hyderabad
 - Innovative Tyres & Tubes Project, Baroda.

2. Benefits derived as a result of above R & D-

- Technology up gradation
- New Products with advanced features
- Product performance enhancement
- Improvement in process efficiency
- Enhancement of product range and entry into niche markets
- Input cost reduction
- Usage of alternate materials
- Reduced energy cost

3. Future plans of action

- Develop super premium tyres in the bias truck segments
- Developments in passenger radial segment :
 - o High performance passenger radial tyres
 - o Winter tyres
 - o Energy saver tyres
 - o Eco friendly green tyres
- Develop radial truck and radial light truck tyres
- Partnering with OEM's for new developments
- Design capability enhancement
- Develop compounds with reliable predictive tyre performance characteristics

4. Expenditure on R & D

	(Rs. in Crores)	
	2008-09	2007-08
a) Capital	1.24	1.32
b) Recurring	2.90	2.06
c) Total	4.14	3.38
d) Total R & D expenditure as% of total turn over	0.16	0.13

Technology Absorption, Adaptation and Innovation**1. Efforts, in brief, made towards technology absorption, adaptation and innovation :**

- The technology developments mentioned above were validated and adapted with horizontal deployments for full absorption.
- New ideas are tried out to bring in innovation in process and products. This has been a key stimulus for technology up gradation.

2. Benefits derived as a result of the above efforts e.g. product improvement, cost reduction, product development , entry to new markets etc. :

- New products developed to meet the specific requirements of OEM and also provide higher value to the replacement customers
- Development of Mile-XL series of high performance tyres

- Introduction of up size motor cycle tyres
- Introduction of MILAZE range of passenger radial tyres with advanced performance attributes
- Widened the range of speciality tyres which enabled strong positioning in the European markets
- Achieved higher efficiency in process

3. In case of imported technology (imported during the last five years reckoned from the beginning of the financial year) following information may be furnished:

- a) Technology imported : Nil
- b) Year of import : Not Applicable
- c) Has the technology been fully absorbed? : Not Applicable
- d) If not fully absorbed, areas where this has not taken place, reasons thereof and future plan of action : Not Applicable

FOREIGN EXCHANGE EARNINGS AND OUTGO

(a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services and export plans.

Please refer to the main report.

(b) Total foreign exchange used and earned :-

		(Rs. in Crores)	
		2008-09	2007-08
i)	Foreign exchange earned	493.08	483.53
ii)	Foreign exchange used	697.82	615.96

On behalf of the Board of Directors,

Mumbai, **H V Goenka** **Paras K Chowdhary**
 Date: May 29, 2009 *Vice Chairman* *Managing Director*

Management Discussion and Analysis

1. Economic overview

The healthy trend in the GDP growth of more than 8% over the last few years underwent a reversal during the year under review due to turmoil in the financial markets triggering a world wide recession.

In India too, the effects of the slowdown have been felt across all segments of business. However, certain sectors like banking, telecom and infrastructure have performed reasonably well despite negative sentiments all around. It appears that macro economic measures taken by the Government in the recent past have worked well, as the signs of recovery of Indian economy were quite visible in the fourth quarter of the year under review, particularly in cement, steel and the automobile industries.

The country has a large contingent of young population with higher disposable income over recent years and they have increased spending across all categories including automobiles. This has prompted companies from all over the world, to set up facilities in India. Today, the country boasts of companies with world-class capabilities in diverse sectors such as Information Technology, Telecom, Pharmaceuticals and Automobiles.

The contribution of infrastructure in India's sustained economic development is well recognized. The Government of India has increased spending in this sector to help in reducing the impact of the recent downturn. Infrastructure spending is expected to be a priority of the Government of India going forward as well.

With the above developments and the expected revival in the near future, the country's GDP growth rate is likely to average about 7% during the Eleventh Five Year Plan. This bodes well for the tyre industry, as tyre consumption relates directly with GDP growth and infrastructure spending.

2. Industry overview

Global Tyre Industry

The global tyre market of over US\$ 120 billion comprises of about 60% of Passenger Cars (PC) and Light Commercial Vehicles (LCV) segments while Heavy Commercial Vehicles (HCV) segment accounts for approximately 27%. More than 60% of the automobile tyre market is shared by the top four players.

Predominantly, Radial tyres are used in PC, LCV and HCV segments. The radialisation in PC is more than 95% and about 60% in LCV and HCV segments. The extent of radialisation in LCV and HCV is higher in developed countries.

Indian Tyre Industry

With the help of a Compounded Annual Growth Rate (CAGR) of more than 8% over 2003-08, size of the domestic tyre industry has grown to around Rs. 19,000 crores. The Indian tyre industry currently comprises of around 40 players in the organized and unorganized sectors, with an aggregate capacity of over 90 million tyres. However, the top 7 players account for over 85% of the market share.

Demand drivers in the Indian Tyre Industry

a) Automobile industry

Dismal performance of the Automobile Industry during the year under review has impacted sales to vehicle manufacturers. However, with the visible signs of revival from the fourth quarter of last fiscal, the off take from vehicle manufacturers is expected to pick up in the second half of 2009-10. Plans of automobile majors worldwide to set up manufacturing facilities in India are intact and India is therefore expected to emerge as an automobile manufacturing and outsourcing hub over the next few years.

b) Road infrastructure

With improved infrastructure, the freight and passenger traffic movement is expected to remain buoyant in future. This is expected to result into increased off take in the replacement market. Further improvement in road infrastructure on completion of mega projects, such as the Golden Quadrilateral, North-South and East-West Corridors etc, will spur growth in freight and passenger movement in future, and consequently accelerate the growth of tyre business in India.

c) Industrial Growth

The slow down in the economy during the year under review impacted the growth of automobile and tyre industry. However, Indian economy is expected to grow at about 7% over the next five years. Sustained economic growth with consequential increase in per capita and disposable income will boost demand for products and services in general.

Strong GDP growth is also expected to enhance agricultural and industrial production which will ensure increased movement of labour and materials. This will fuel demand for Truck / Bus (T&B) and farm tyres.

d) Radialisation

Currently, the PC segment in India is more than 95% radialised, which is at par with the world average. However, T&B segment is only 10-12% radialised against the world average of 60%. Radialisation is expected to reach 30% in Commercial Vehicles (CVs) and 20% in LCVs in approximately three years. This will improve demand of radial tyres in the country. Indian companies will have an opportunity to cash in on the steady switch from the traditional cross-ply tyres to radial tyres in the CV segment.

e) Exports

The downturn in the global economy has adversely affected exports from India during the year under review. However, the demand supply gap in cross-ply tyres in the international market is expected to continue for the next five to ten years. The industry therefore, is expected to re-position its manufacturing facilities, product portfolio and distribution network to meet the new market demands.

3. Business overview

Profile

CEAT Limited (CEAT), is one of India's leading tyre manufacturers and over the last 50 years, has established a strong presence in both the domestic and the international markets.

Operations

The Company currently manufactures over 7 million tyres every year and commands 13% share of the Indian market. One of the most diversified tyre companies in India, CEAT offers the widest range of tyres to all user segments including heavy-duty T&B, LCV, Earthmovers and Forklifts (speciality segment), Tractors, Trailers, PC, Motorcycles/ Scooters and Auto-rickshaws.

Exports

Apart from being a major player in the domestic market, CEAT exports to more than 120 countries across Europe, Africa and Asia, and has an established network in North and South America. The exports registered a CAGR of ~18% during

2003-08 and, will contribute to be a major revenue driver for the industry in future also.

Sales Network

CEAT has a robust sales network consisting of 34 regional offices and over 3500 dealers. In addition, there are more than 100 CEAT Shoppes, an exclusive outlet for urban customers. CEAT has also implemented a new initiative during 2008-09 and has already opened close to 100 CEAT HUBs, the exclusive outlets for addressing the needs of the T & B segment. With these initiatives, CEAT's direct reach to the consuming community is expected to grow significantly and will also help CEAT in creating stronger bond with its customers.

4. Opportunities

The infrastructure boom in the country, rising per capita and disposable income, rising demand in the PC segment, the emerging radialisation opportunity, expansion in the high margin off-the road segment, sustained tyre exports, growth in the auto industry and replacement demand are factors that indicate strong growth in the Indian tyre industry in the years to come.

All this bodes well for CEAT. Its expertise and strong execution capabilities will allow the Company to exploit this opportunity.

5. Demand Outlook

It is expected that the demand for tyres (in volume terms) shall grow at of 8-9% during 2008-13. The T & B and LCV categories are expected to register a growth of 7% and 9% respectively during the said period. As stated above, the PC, two wheeler and farm segments are also expected to register growth during the said period.

CEAT's strategy for 2009-10

CEAT would like to dominate in select segments in the domestic as well as in the export market. With globalization of the economy, new segments are getting created. CEAT has chosen some key segments where it will focus its entire marketing activities in the future with a view to achieve leadership status. 'Select and dominate' will be CEAT's strategy in all product categories especially premium categories. Further improvement in product mix and margins will be the key operational deliverables of the entire strategy.

6. Threats, Risks and concerns

The Company is operating in an environment that is becoming more and more competitive. As it gets into the expansion mode, it is poised to exploit several new opportunities. The Company seeks to ensure that the risks it undertakes are commensurate with returns.

Economic Risk

Factors that may adversely affect the Indian economy and in turn the Company's business include slowdown in the rate of infrastructure development, rise in interest rates, inflation, changes in tax, trade, fiscal and monetary policies, scarcity of credit etc. The industry has already faced reduced demand during the year under review because of downturn in world economy.

Competition Risk

CEAT faces competition from other major tyre manufacturers in the domestic industry. While global tyre majors are also planning to enter the Indian market, some of them have already started operations.

Price Risk (Raw Materials)

The tyre industry is characterized by high raw material cost, which accounts for ~75% of a tyre manufacturer's total operating costs. Natural Rubber (NR) accounts for ~40% of total raw material cost. Sharp volatility in the raw material cost impacts profitability as it is not always possible to pass on the impact of cost push to customers in a competitive scenario.

Import Risk

Increased import of tyres into the country may reduce the potential of Indian markets for Indian tyre manufacturers.

7. Internal control systems and adequacy

The Company's well defined organizational structure, documented policy guidelines, defined authority matrix and internal controls ensure efficiency of operations, compliance with internal policies and applicable laws and regulations as well as protection of resources. Moreover, the Company continuously upgrades these systems in line with the best available practices. Regular Management Committee Meetings are held where reports on key performance indicators and variance analysis vis-à-vis budgets are discussed and action plans are drawn for proper follow up.

Operational reports are tabled at each Board Meeting, after being discussed at Audit Committee Meetings.

The internal control system is supplemented by extensive internal audits, regular reviews by management and standard policies and guidelines to ensure reliability of financial and all other records to prepare financial statements and other data.

8. Financial performance

The Company registered a net sales of Rs. 2514 crores during 2008-09 as against Rs. 2330 crores in the previous year. The unprecedented cost push and subdued demand, reduced the margins of the Company during the year under review. Consequently, the Company closed its financial year with a net loss after tax of Rs. 16 crores as against profit after tax of Rs. 149 crores in the previous year.

9. Material developments in human resources

CEAT has a well-drawn recruitment policy to attract and retain the best talent. The Company is also pushing forward for a performance based culture, where the best performers get rewarded at a level that compares well across industries. CEAT has initiated several organization development processes which will create superior internal synergies and an exhilarating and demanding work ethos. The new visual identity of the brand is linked to these internal changes.

10. Cautionary statement

Statements in the Management Discussion and Analysis Report describing the Company's objectives, projections, estimates, expectations may be "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could influence the Company's operations include economic developments within the country, demand and supply conditions in the industry, input prices, changes in Government regulations, tax laws and other factors such as litigation and industrial relations.

Identified as having been approved by
the Board of Directors of CEAT LTD.

Mumbai,
Date: April 29, 2009

H N Singh Rajpoot
Company Secretary

Corporate Governance Report

I COMPANY PHILOSOPHY

The Company's philosophy on Corporate Governance mirrors its belief that principles of transparency, fairness and accountability towards the stakeholders are the pillars of a good governance system. The Company believes that the discipline of Corporate Governance pertains to systems, by which companies are directed and controlled, keeping in mind long-term interests of shareholders, while respecting interests of other stakeholders and society at large. It aims to align interests of the Company with its shareholders and other key stakeholders. Accordingly, this Company philosophy extends beyond what is being reported under this Report and it has been the Company's constant endeavour to attain the highest levels of Corporate Governance.

This Report is for compliance of Clause 49 of the Listing Agreement, which the Company has entered into with the Stock Exchanges.

II BOARD OF DIRECTORS

In terms of the Company's Corporate Governance Policy, all statutory and other significant and material information including information mentioned in Annexure IA of Clause 49 of the Listing Agreement are placed before the Board to enable it to discharge its responsibilities of strategic supervision of the Company with due compliance of laws and as trustees of stakeholders.

1. Composition

The Board of Directors of the Company consists of twelve (12) members, out of whom one (1) is an 'Executive' Director and eleven (11) are 'Non-Executive' Directors.

The Chairman, Dr. R. P. Goenka is a Non-Executive Director and Mr. Paras K. Chowdhary, who is the 'Executive' Director, is the Managing Director. The Directors are eminent industrialists/ professionals with experience in industry/business/finance/law and bring with them the reputation of independent judgement and experience, which they exercise and also satisfy the criteria of independence. However, the Board of Directors, adopting a more exacting view, has decided to treat only the Directors, as indicated in Para II-2 below, as independent directors.

2. Board Meetings held during the year and attendance thereat:

During the financial year April 1, 2008 to March 31, 2009, four (4) meetings of the Board of Directors were held on April 29, 2008, July 25, 2008, October 23, 2008, and January 30, 2009. Details of Directors and their attendance in the said Board Meetings and also at the last Annual General Meeting are given below:

Name	Category	No. of Board Meetings attended during the year	Whether attended last AGM held on 25.07.2008	No. of Director ships in other public limited companies	No. of Committee positions held in other public limited companies*	
					Chairman	Member
Dr. R. P. Goenka	Non-Executive Non-Independent	0	No	4	-	-
Mr. H. V. Goenka	Non-Executive Non-independent	4	Yes	8	-	-
Mr. Paras K. Chowdhary	Executive Non-Independent	4	Yes	5	-	1
Mr. Mahesh S. Gupta	Non-Executive Independent	4	Yes	7	3	2
Mr. M. A. Bakre	Non-Executive Independent	4	Yes	2	1	-
Mr. A. C. Choksey	Non-Executive Independent	2	Yes	8	-	-
Mr. S. Doreswamy	Non-Executive Independent	4	Yes	6	4	1
Mr. J. N. Guzder	Non-Executive Independent	1	No	-	-	-
Mr. Haigreve Khaitan	Non-Executive Independent	1	Yes	14	-	8
Mr. Bansil S. Mehta	Non-Executive Independent	3	Yes	14	5	5
Mr. Hari L. Mundra	Non-Executive Independent	3	No	-	-	-
Mr. K. R. Podar	Non-Executive Independent	2	Yes	5	-	-

* Only Audit Committee and Shareholders/Investors Grievance Committee are reckoned for this purpose.

3. Details of Directors proposed for Re-Appointment at the forthcoming Annual General Meeting [Pursuant To Clause 49 (IV)(G)]

i) Mr. Mahesh S. Gupta

Mr. Mahesh Gupta is the Group Managing Director for the Ashok Piramal Group and oversees all business of the Group- Real Estate (Peninsula Land Limited), textiles (Morarjee Textiles Limited and Integra Apparels), engineering (Miranda Tools Private Limited, PMP Components Private Limited, PMP Bakony Wiper-Systems Limited and PAL International s.r.o) and entertainment (Jammin Recreation Private Limited). As a member of the apex board, Mr. Gupta provides strategic directions for all business initiatives of the Ashok Piramal Group and with his vast experience, he plays a key role in steering the company and identifying new business opportunities for the Ashok Piramal Group. Previously, he has worked with the RPG Group as Group CFO and management board member and also as a Whole time Director of Nicholas Piramal India Limited.

He has played a pivotal role in the spree of acquisitions done by the Piramal Group in the pharmaceutical sector in the past. His exemplary stewardship has made him the proud recipient of the CFO of Year Award, Special Commendation for Financial Excellence (Merger & Acquisitions Category) by IMA (formerly known as EIU), New Delhi. Mr. Gupta is an accomplished Chartered Accountant and Company Secretary and from time to time has been associated with various committees of The Institute of Chartered Accountants of India (ICAI). He had also been a member of the governing council of Indian Association of Corporate CFO's and Treasurers (InACT) and is a member of Advisory Board of Chennai Business School. He has an outstanding academic record- a rank holder and Silver Medalist in Company Secretaries Final Examination.

Other Directorships:

- Delta Corp Limited
- Ashok Piramal Management Corporation limited
- Champs Elysee Enterprises Private Limited
- City Parks Private Limited

- Men's Club SPA
- Morarjee Textiles Limited
- Peninsula Investment Management Company Limited
- Peninsula Land Limited
- Peninsula Pharma Research Centre Private Limited
- Whitecity Mercantile Company Private Limited
- Boom Realty Private Limited
- Renato Finance & Investments Private Limited
- Topvalue Brokers Private Limited
- Delta Magnets Limited
- RPG Life Sciences Limited

Membership/Chairmanship of Committees:

Company	Committee	Chairman/ Member
Delta Corp Limited	Audit Committee Remuneration Committee	Chairman Chairman
Delta Magnets Limited	Audit Committee	Chairman
Morarjee Textiles Limited	Share Transfer Committee	Member
Peninsula Land Limited	Share Transfer Committee	Member
Peninsula Investment Management Company Limited	Audit Committee	Member
RPG Life Sciences Limited	Audit Committee Shareholders and Investors Grievance Limited	Member Chairman

Mr. Gupta is not related to any member of the Board of Directors or to any Management Personnel of the Company.

ii) Mr. Haigreve Khaitan

Mr. Haigreve Khaitan, 39, is an Advocate by profession, practicing law since 1995. Mr. Khaitan's areas of expertise include Commercial & Corporate Laws, Tax Laws, Mergers and Acquisitions, Restructuring, Foreign Collaboration and Licensing.

Other Directorships:

- Dhunseri Tea & Industries Limited
- Harrisons Malayalam Limited
- Hindustan Composites Limited
- Inox Leisure Limited

- National Engineering Industries Limited
- Jindal Steel & Power Limited
- Rama Newsprint & Papers Limited
- Sterlite Technologies Limited
- TCPL Packaging Limited
- The Madras Aluminum Company Limited
- The Oudh Sugar Mills Limited
- Xpro India Limited
- AVTECH Limited
- Bennett, Coleman & Company Limited
- BTS Investment Advisors Private Limited
- Great Eastern Energy Corporation Limited
- I.G.E (India) Limited
- Khaitan Consultants Limited
- Vinar Systems Private Limited
- Milipore India Private Limited

Membership/Chairmanship of Committees:

Company	Committee	Chairman/ Member
Harrisons Malayalam Limited	Audit Committee Remuneration Committee	Member Member
Inox Leisure Limited	Audit Committee	Member
National Engineering Industries Limited	Audit Committee Shareholder's Grievance Committee Remuneration Committee	Member Member Member
Rama Newsprint & Papers Limited	Shareholder's Grievance Committee Share Transfer Committee	Member Member
Sterlite Technologies Limited	Audit Committee Remuneration Committee	Member Member
Xpro India Limited	Share Transfer Committee	Member
AVTEC Limited	Audit Committee	Member
Bennett, Coleman & Company Limited	Audit Committee	Member
Great Eastern Energy Corporation Limited	Remuneration Committee Compensation Committee	Member Member

Mr. Khaitan is not related to any member of the Board of Directors or to any Management Personnel of the Company.

iii) Mr. K. R. Podar

Born in Mumbai in 1935, Mr. Kantikumar Podar graduated from Sydenham College of Commerce and Economics, Mumbai. He has been in the forefront of Indian Business and Industry.

He was the youngest Sheriff of Bombay and was Justice of Peace, then a Special Executive Magistrate and now appointed as Special Executive Officer by the Government of Maharashtra. He has been on the Senate of University of Bombay for six years. Mr. Podar has very high presence in both International and Indian Business and Industry.

At the international level, Mr. Podar was the President of SAARC Chamber of Commerce and Industry with Headquarters in Pakistan and he represented the business community in the Prime Minister's delegation in the Maiden Bus Journey to Lahore in which only 25 dignitaries of the country were members. He has been Chairman of many Joint Business Councils and Member of many Trade and Industry bodies.

At the National level, Mr. Podar has headed 16 important Trade and Industry bodies like Federation of Indian Chambers of Commerce and Industry (FICCI) (the Apex Chamber of Industries), The Indian Merchants' Chamber (IMC), The Indian Cotton Mills' Federation (ICMF) (now known as Confederation of Indian Textile Industry, Parent body of textile mills in India), All India Organisation of Employers (AIOE) etc.

Other Directorships:

- Moscow Region Podar International Private Limited
- Premier Consultant and Traders Limited
- Podar Infotech & Entertainment Limited
- Pitti Laminations Limited
- Sutlej Textiles & industries Limited
- Bajaj Auto Limited

Mr. Podar is not related to any member of the Board of Directors or to any Management Personnel of the Company.

III COMMITTEES OF THE BOARD

1. Audit Committee

The terms of reference of the Audit Committee include the matters specified under Clause 49 (II) (D) and (E) of the Listing Agreement as well as in Section 292A of the Companies Act, 1956. The terms of reference of the Audit Committee, inter alia, include the following:

1. Oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statements are correct, sufficient and credible.
2. Reviewing with the management the financial statements at the end of the quarter, half year and the annual statements before submission to the Board for approval with particular reference to ;
 - a) Matters required to be included in the Director's responsibility statement which forms part of the Board's Report in terms of clause (2AA) of Section 217 of the Companies Act, 1956,
 - b) Changes, if any, in accounting policies and practices and reasons for the same.
 - c) Major accounting policies and practices and reasons for the same.
 - d) Significant adjustments made in the financial statements arising out of audit findings.
 - e) Compliance with the listing and other legal requirements relating to financial statements.
 - f) Disclosure of any related party transactions.
 - g) Qualifications, in the draft audit report.
3. Considering and recommending the appointment, re-appointment, of the statutory auditors, fixation of the audit fee and fee for any other services rendered by the Statutory Auditors and, if required, the replacement or removal of the Statutory auditor.
4. Reviewing with the management, performance of the Statutory and internal auditors and adequacy of the internal control systems.
5. Reviewing the adequacy of the internal audit function,

if any, including the structure of the internal audit department, staffing and seniority of the official heading the department reporting structure coverage and frequency of the internal audit.

6. Discussion with internal auditors on any significant findings and follow up thereon.
7. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board.
8. Looking into the reasons for substantial defaults in payment to the depositors, debenture holders, shareholders and creditors, if any.

The Company has complied with the requirements of Clause 49 (II) (A) as regards the composition of the Audit Committee. The Audit Committee has four (4) members; Mr. M. A. Bakre, Mr. Mahesh S. Gupta, Mr. S. Doreswamy and Mr. Hari L. Mundra. Mr. M. A. Bakre is the Chairman of the Audit Committee.

The Company Secretary functions as the Secretary of the Committee.

During the financial year ended March 31, 2009, six (6) meetings of the Audit Committee were held on April 29, 2008, July 24, 2008, September 23, 2008, October 23, 2008, January 30, 2009 and February 24, 2009.

Attendance at the Audit Committee Meetings:

Name of the Member	No. of Meetings attended
Mr. M. A. Bakre	6
Mr. Mahesh S. Gupta	6
Mr. S. Doreswamy	5
Mr. Hari L. Mundra	4

The necessary quorum was present at the meetings.

The Audit Committee Meetings are also generally attended by the representatives of Statutory Auditors, the Managing Director, the Chief Financial Officer, Head-Internal Audit and the General Manager – Accounts, MIS & Risk Management.

The Minutes of the Meetings of the Audit Committee were discussed and taken note by the Board of Directors.

2. Shareholders/Investors Grievance Committee

The Committee reviews and deals with complaints and queries received from the investors. It also reviews and deals with responses to letters received from the Ministry of Corporate Affairs, the Stock Exchanges and Securities and Exchange Board of India.

The Shareholders/Investors Grievance Committee comprises of three (3) members, Mr. M. A. Bakre, Mr. Paras K. Chowdhary and Mr. Mahesh S. Gupta. Mr. M. A. Bakre is the Chairman of the Committee.

The Company Secretary functions as the Secretary of the Committee.

During the financial year ended March 31, 2009, four (4) meetings of the Shareholders /Investors Grievance Committee were held on April 29, 2008, July 24, 2008, October 23, 2008 and January 30, 2009.

Attendance at Shareholders/Investors Grievance Committee Meetings:

Name of the Member	No. of Meetings attended
Mr. M. A. Bakre	4
Mr. Paras K. Chowdhary	4
Mr. Mahesh S. Gupta	4

The status of the complaints received from investors is as follows:

➤ Shareholders' / Investors' Complaints

Particulars of Complaints	Complaint Nos.
Complaints pending as on April 1, 2008	0
Complaints received during 2008-2009	11
Complaints identified and reported under Clause 41 of the Listing Agreement	11
Complaints disposed off during the year ended March 31, 2009	11
Complaints remaining unresolved as on March 31, 2009	0

The Board has designated Mr. H. N. Singh Rajpoot, Company Secretary, as the "Compliance Officer".

3. Remuneration Committee

The Remuneration Committee reviews the remuneration package for the Managing Director and recommends it to the Board.

The Remuneration Committee comprises of four (4) members, Mr. H. V. Goenka, Mr. M. A. Bakre, Mr. S. Doreswamy, and Mr. Hari L. Mundra. Mr. H. V. Goenka is the Chairman of the Remuneration Committee. This Committee meets the criteria as laid down in Explanation IV in Section II of Part II of Schedule XIII of the Companies Act, 1956 and is not formed pursuant to Clause 49 of the Listing Agreement, in which the formation of the Committee is not mandatory.

During the financial year ended March 31, 2009, two (2) meetings of the Company were held on October 23, 2008 and March 3, 2009.

Name of the member	No. of Meetings attended
Mr. H. V. Goenka	2
Mr. M. A. Bakre	2
Mr. S. Doreswamy	2
Mr. Hari. L. Mundra	2

➤ Remuneration Policy

The Managing Director is paid remuneration as per the Agreement entered between him and the Company and was approved by the shareholders at the Annual General Meeting of the Company held on September 25, 2006 and as modified by the resolution passed on April 27, 2009 through postal ballot. The remuneration structure of the Managing Director comprises of salary, perquisites and allowances, contributions to provident fund, superannuation and gratuity.

The Non-Executive Directors do not receive any remuneration from the Company except Sitting Fees.

➤ **Directors' Remuneration**

• **Non-Executive Directors**

Director	Relationship with other Directors (if any)	Sitting Fees paid during 2008-2009 (All figures in Rs.)
Dr. R P Goenka - Chairman	Father of Mr. H. V. Goenka	-
Mr. H V Goenka - Vice-Chairman *	Son of Dr. R. P. Goenka	90,000
Mr. Mahesh S. Gupta *	-	1,40,000
Mr. M. A. Bakre *	-	1,50,000
Mr. A. C. Choksey	-	40,000
Mr. S. Doreswamy *	-	1,40,000
Mr. J. N. Guzder	-	20,000
Mr. Haigreave Khaitan	-	20,000
Mr. Bansi S. Mehta	-	60,000
Mr. Hari L. Mundra *	-	1,10,000
Mr. K. R. Podar	-	40,000

* Includes sitting fees for attending Audit Committee Meetings and Remuneration Committee Meetings. Sitting fees for attending meetings of Shareholders/ Investors Grievance Committee have been waived by the Directors on the said Committee.

• **Executive Director**

Name :	Mr. Paras K. Chowdhary	
Relationship with other Directors :	None	
Business Relationships with the Company, if any :	Managing Director	
All elements of Remuneration Package :	Description	Amount in Rs. (Lacs)
	Salary, Allowances & Perquisites	157.75
	Performance Bonus	30.00
	Contribution to Provident and Superannuation Funds and Gratuity	27.39
	Stock Options	-
	Total	215.14

The above remuneration was approved by a resolution passed by the Remuneration Committee constituted by the Board of Directors in terms of sub-paragraph (A) of Paragraph I of Section II of Part II of Schedule XIII (the "Schedule") to the Companies Act, 1956. [Refer to Note No. 5 of Schedule 20]

The Agreement with Managing director is for a period of 5 years commencing from January 18, 2006 to January 17, 2011. Either party to the Agreement is entitled to terminate the Agreement by giving not less than 6 months notice to either party, provided however that the Company shall be entitled to terminate the appointment at any time by payment to him 6 months' salary in lieu of such notice.

➤ **Shareholding of Directors**

Dr. R. P. Goenka,	: 3,799	Equity Shares
Chairman		
Mr. H. V. Goenka,	: 10,133	Equity Shares
Vice Chairman		
Mr. Paras K. Chowdhary,	: 3,000	Equity Shares
Managing Director		

Except for the above, no other Director of the Company holds any equity shares in the Company.

IV DETAILS ON GENERAL BODY MEETINGS

The details of the last three (3) Annual General Meetings are as below:

Meeting	Day, Date	Time	Venue
47th AGM	Monday, September, 25, 2006	11.30 a.m	Patkar Hall, Mumbai.
48th AGM	Friday, July 27, 2007	4.00 p.m.	Patkar Hall, Mumbai.
49th AGM	Friday, July 25, 2008	11.30 a.m.	Patkar Hall, Mumbai.

➤ **Special Resolutions passed at the last three (3) Annual General Meetings:**

Date of AGM	Description of Special Resolution
47th AGM September 25, 2006	Appointment of M/s. N. M. Rajji & Co. as Statutory Auditors.
48th AGM July 27, 2007	Relocation of Statutory Registers from the premises of TSR Darashaw Limited at Army Navy Building, 148, Mahatma Gandhi Road, Fort, Mumbai 400 001 to their new premises at 6-10 Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011 pursuant to Section 163 of the Companies Act, 1956.
49th AGM July 25, 2008	Payment of Commission to Non-Executive directors as per Section 309 of the Companies Act, 1956.

During the year, a Special Resolution for approval of increase in remuneration to the Managing Director was proposed to be passed by Postal Ballot and accordingly notice for the same was dispatched to the shareholders. Mr. P. N. Parikh is appointed as a Scrutinizer for the Postal Ballot exercise. The Special resolution has since been passed on April 27, 2009. There is no other immediate proposal for passing any resolution by postal ballot this year.

V DISCLOSURES

1. Disclosures on materially significant related party transactions that may have potential conflict with the interests of Company at large

There were no material and/or significant transactions during the financial year 2008-09 that were prejudicial to the interest of the Company.

During the year under review, the Company made a payment of Rs. 7,17,700/- to Khaitan & Co., of which Mr. Haigreve Khaitan, a Director of the Company is a partner.

2. Disclosures of Related Party Transactions

The Company follows the following policy in

disclosing the related party transactions to the Audit Committee:

- A statement in summary form of transactions with related parties in the ordinary course of business are placed periodically before the Audit Committee.
- Details of material individual transactions with related parties, which are not in the normal course of business, if any, are placed before the Audit Committee.
- Details of material individual transactions with related parties or others, which are not on arm's length basis, if any, are placed before the Audit Committee, together with Management's justification for the same.
- No material, financial and commercial transactions were reported by the management to the Board, in which the management had personal interest having a potential conflict with the interest of the Company at large.

Details of related party transactions are included in the Notes to the Accounts as per Accounting Standard (AS-18) issued by the Institute of Chartered Accountants of India.

3. Disclosure of Accounting Standards

The Company has followed the Accounting Standards issued by the Institute of Chartered Accountants of India, to the extent applicable, in the preparation of the financial statements.

4. Disclosure of Risk Management

The Company has laid down procedures to inform Board Members about the risk assessment and minimization procedures. These procedures are periodically reviewed to ensure that executive management controls risks through means of a properly defined framework.

5. Details of non-compliance by the Company, Penalties, Strictures imposed on the Company by

Stock Exchange(s) or Securities Exchange Board of India (SEBI) or any other statutory authority or any matters related to Capital Markets.

The Company has complied with all the requirements of the Stock Exchanges, SEBI and Statutory Authorities on all matters related to the capital markets during the last three years. There are no penalties or strictures imposed on the Company by the Stock Exchanges or SEBI or any statutory authorities relating to the above.

There were no instances of non-compliance of any matter related to the capital market during the last three years.

6. Details of compliance with mandatory requirement

Clause 49 of the Listing Agreement mandates to obtain a certificate from either the Auditors or practicing Company Secretaries regarding compliance of conditions of corporate governance as stipulated in the Clause and annex the certificate with the Directors' Report, which is sent annually to all the shareholders. The Company has obtained a certificate from its Auditors to this effect and the same is given as an annexure to the Directors' Report.

7. Adoption of the non-mandatory requirements

The Clause states that the non-mandatory requirements may be implemented as per the discretion of the Company. The Company maintains an office for the Chairman, which is regularly used by the Chairman for interactions with the Management. The disclosures of compliance with other non-mandatory requirements and adoption (and compliance) / non-adoption of the non-mandatory requirements shall be need based.

VI MEANS OF COMMUNICATION

Quarterly results of the Company are published in major English Dailies as well as in a Marathi Daily.

The quarterly results of the Company are normally published in the following newspapers:

- Business Standard
- The Economic Times
- The Financial Express
- Hindustan Times
- The Free Press Journal
- Maharashtra Times
- Navshakti

The quarterly results of the Company are displayed on the Company's Website www.ceat tyres.com.

The Company provides information to the Stock Exchanges where the shares of the Company are listed as per the Listing Agreement entered into with the Stock Exchanges.

The Company has provided an email address on its website investors@ceatltd.com, whereby investors can directly contact the Company.

VII GENERAL SHAREHOLDER INFORMATION

➤ **AGM: Date, time and venue**

As indicated in the notice accompanying this Annual Report, the 50th Annual General Meeting of the Company will be held on Tuesday, August 25, 2009 at Ravindra Natya Mandir, P. L. Deshpande Maharashtra Kala Academy, Sayani Road, Prabhadevi, Mumbai - 400 025 at 3.00 p.m.

➤ **Financial Year**

The Company follows 1st April to 31st March as the financial year.

➤ **Date of Book Closure**

Tuesday, August 11, 2009 to Tuesday, August 25, 2009 (both days inclusive)

➤ **Dividend Payment Date**

During the year under review, the Board of Directors have not recommended any dividend.

➤ **Listing on Stock Exchanges**

The Equity shares of the Company are listed on the Bombay Stock Exchange Limited and the National Stock Exchange of India Limited.

The Listing fees have been paid to both the Stock Exchanges for the financial year 2009-10.

➤ Stock Code

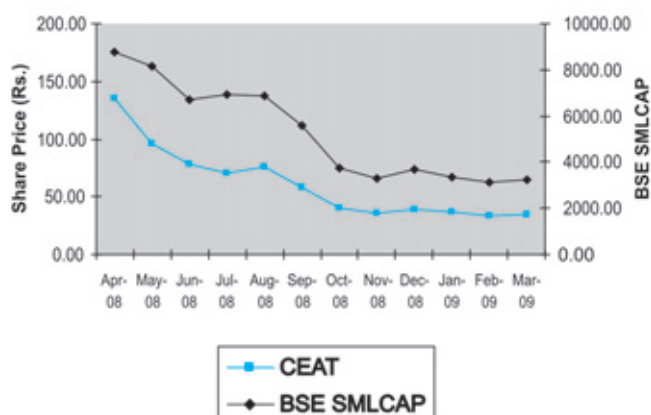
Bombay Stock Exchange Limited	-	500878
National Stock Exchange of India Limited	-	CEATLTD

➤ Market Price Data

For Equity Share of face value of Rs. 10/- each				
Month	BSE		NSE	
	High (Rs.)	Low (Rs.)	High (Rs.)	Low (Rs.)
April 2008	143.00	95.20	143.40	132.55
May 2008	141.45	95.05	99.70	95.20
June 2008	103.85	76.00	80.00	73.10
July 2008	82.80	69.20	72.75	70.50
August 2008	86.30	70.00	76.75	75.05
September 2008	82.45	55.50	60.90	56.10
October 2008	60.95	35.00	41.80	37.00
November 2008	45.00	32.90	37.95	33.50
December 2008	43.65	33.70	39.30	38.00
January 2009	44.30	33.05	37.90	33.50
February 2009	39.80	33.20	34.45	33.00
March 2009	37.90	31.00	35.45	33.70

➤ Share Performance of the Company in comparison to BSE SMLCAP

CEAT in comparison with BSE SMLCAP



➤ Registrar and Share Transfer Agents:

Registered Office:

TSR DARASHAW LTD.

6-10, 1st Floor,
Haji Moosa Patrawala
Industrial Estate,
20 Dr.E. Moses Road,
Mahalaxmi, Mumbai - 400 011
E-mail : csg-unit@tsrdarashaw.com
Web : www.tsrdarashaw.com

Tel. 022-66568484
Fax 022-66568494

Branch Offices:

1. Bangalore

TSR DARASHAW LTD.

503, Barton Centre (5th Floor)
84, Mahatma Gandhi Road,
Bangalore - 560 001
E-mail : tsrdlbang@tsrdarashaw.com

Tel. 080-25320321
Fax 080-25580019

2. Jamshedpur

TSR DARASHAW LTD.

Bungalow No.1,"E" Road,
Northern Town, Bistupur,
Jamshedpur - 831 001
E-mail : tsrdljsr@tsrdarashaw.com

Tel. 0657-2426616
Fax 0657-2426937

3. Kolkata

TSR DARASHAW LTD.

Tata Centre, 1st Floor,43,
J.L.Nehru Road Road
Kolkata - 700 071
E-mail : tsrdlcal@tsrdarashaw.com

Tel. 033-22883087
Fax 033-22883062

4. New Delhi

TSR DARASHAW LTD.

2/42, Sant Vihar,Ansari Road,
Daryaganj,
New Delhi - 110 002
E-mail : tsrdldel@tsrdarashaw.com

Tel. 011-23271805
Fax 011-23271802

➤ Share Transfer System

All valid requests for transfer of Equity shares in physical mode received for transfer at the office of the Registrar and Transfer Agents or at the Registered Office of the Company are processed and returned within a period of 30 days from the date of receipt. The Board of Directors has delegated the power of approval of share transfers to the Company Secretary.

Every effort is made to clear share transfers/transmissions and split and consolidation requests within 21 days.

➤ **Distribution of Shareholding as of March 31, 2009**

No. of Equity shares held	No. of Shareholders		No. of Shares		% of Equity Capital	
	Physical	Demat	Physical	Demat	Physical	Demat
1 to 500	32,952	38,417	9,04,413	35,29,788	2.64	10.31
501 to 1000	144	1,429	97,268	10,68,227	0.28	3.21
1001 to 2000	57	557	78,145	7,96,002	0.23	2.32
2001 to 3000	13	161	33,015	3,97,601	0.10	1.16
3001 to 4000	5	78	16,585	2,80,907	0.05	0.82
4001 to 5000	1	54	4,530	2,46,691	0.01	0.72
5001 to 10000	5	87	40,150	6,21,810	0.12	1.82
More than 10001	4	81	18,25,974	2,43,02,428	5.33	70.97
Total	33,181	40,864	30,00,080	3,12,43,454	8.76	91.24

➤ **Dematerialisation of shares**

The Company has arrangement with National Securities Depository Limited (NSDL) as well as Central Depository Services (India) Limited (CDSL) for dematerialization of shares with ISIN No. **INE 482A01020 for both NSDL and CDSL.**

Approximately 91.24 % of the Equity share capital corresponding to 3,12,43,454 Equity shares is held in dematerialised form as of March 31, 2009.

➤ **Categories of Shareholding as of March 31, 2009**

Category	No. of Shares	Percentage
Promoters Holdings (Indian and Foreign)	1,64,35,369	48.00
Mutual Funds	40,42,847	11.81
Banks, Financial Institutions, Insurance Companies and others	32,23,134	9.41
Foreign Institutional Investors	4,76,439	1.39
Non Resident Indians	2,09,941	0.61
Corporate Bodies, Indian Public and Others	98,55,804	28.78
Total	3,42,43,534	100.00

➤ **Outstanding GDRs / ADRs / Warrants / Any Other Convertible Instruments**

The Company has not issued any such instruments.

➤ **Plant Locations**

Mumbai Plant: Village Road, Bhandup, Mumbai 400 078.

Nasik Plant: 82, MIDC Industrial Estate, Satpur, Nasik 422 007.

➤ **Code of Conduct**

The Board has laid down a Code of Conduct for all Board Members and Senior Management of the Company, which is posted on the website of the Company.

All Board Members and Senior Management Personnel have affirmed compliance with the Code for the financial year ended March 31, 2009. A declaration to this effect signed by the Managing Director forms part of this Report.

Declaration - Code of Conduct

All Board Members and the Senior Management personnel have, for the year ended March 31, 2009, affirmed compliance with the Code of Conduct laid down by the Board of Directors in terms of the Listing Agreement entered with the Stock Exchanges.

For **CEAT Limited**

Sd/-

Mumbai,
Date: April 29, 2009

Paras K. Chowdhary
Managing Director

➤ **Compliance Officer**
Mr. H. N. Singh Rajpoot
Company Secretary
CEAT Limited
CEAT Mahal,
463, Dr. Annie Besant Road
Worli, Mumbai 400 030
Tel: 91-22-2493 0621
Fax: 91-22-6660 6039
Email: investors@ceatltd.com

Identified as having been approved by the Board of Directors of CEAT LTD.

H. N. Singh Rajpoot
Company Secretary
Mumbai,
Date: April 29, 2009

TO THE MEMBERS OF CEAT LIMITED

We have examined the compliance of conditions of Corporate Governance by CEAT Limited (the Company) for the year ended March 31, 2009, as stipulated in Clause 49 of the Listing Agreement of the said Company with Stock Exchanges.

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination has been limited to a review of the procedures and implementations thereof, adopted by the Company for ensuring compliance with the conditions of Corporate Governance as stipulated in the said Clause. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in Clause 49 of the above mentioned Listing Agreement.

As required by the Guidance Note issued by the Institute of Chartered Accountants of India, we have to state that based on the report issued by the Registrars of the Company to the Shareholders/Investors Grievance Committee, as on March 31, 2009 there were no investor grievance matters against the Company remaining unattended/pending for more than 30 days.

We further state that such compliance is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For N. M. RAIJI & CO.,
Chartered Accountants

CA Y. N. Thakkar
Partner
Membership No. 33329

Mumbai,
Date: April 29, 2009

Auditors' Report

TO THE MEMBERS OF CEAT LIMITED

1. We have audited the attached Balance Sheet of **CEAT LIMITED**, as at 31st March 2009, the Profit and Loss Account and also the Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with the auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of sub-section (4A) of section 227 of the Companies Act, 1956 and on the basis of such checks of the books and records of the Company as we considered appropriate and according to the information and explanations given to us during the course of the audit, we enclose in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to our comments in the Annexure referred to above and our comments in paragraph 3 above, we report that:
 - (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (ii) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - (iii) The Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - (iv) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the accounting standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956 to the extent applicable;
 - (v) On the basis of written representations received from the directors, as on 31st March 2009, and taken on record by the Board of Directors, we report that none of the directors of the Company is disqualified as on 31st March 2009 from being appointed as a director in terms of clause (g) of sub-section (1) of section 274 of the Companies Act, 1956;
 - (vi) In our opinion and to the best of our information and according to the explanations given to us, the said accounts read together with the notes thereon give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (a) In the case of the Balance Sheet, of the state of affairs of the Company as at 31st March 2009;
 - (b) In the case of the Profit and Loss Account, of the Loss for the year ended on that date; and
 - (c) In the case of the Cash Flow Statement, of the cash flow for the year ended on that date.

For **N. M. RAIJI & CO.**,
Chartered Accountants

CA. Y. N. THAKKAR
Partner

Mumbai,
Date : April 29, 2009

Membership No. 33329

Annexure to The Auditors' Report

(Referred to in paragraph 3 of our report of even date)

- | | |
|--|---|
| <p>(i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.</p> <p>(b) The Company has a programme of physical verification of fixed assets. As per the said programme, certain assets were physically verified during the year. In our opinion, the frequency of physical verification is reasonable having regard to the size and operations of the Company and nature of its assets. No material discrepancies were noticed on such verification.</p> <p>(c) The Company has not disposed off substantial part of fixed assets during the year.</p> <p>(ii) (a) The inventories have been physically verified by the management at reasonable intervals during the year.</p> <p>(b) In our opinion, the procedures of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the Company and the nature of its business.</p> <p>(c) In our opinion, the Company is maintaining proper records of inventory. The discrepancies noticed on physical verification were not material in relation to the operations of the Company and the same have been properly dealt with in the books of account.</p> <p>(iii) The Company has neither granted nor taken any loans, secured or unsecured to / from companies, firms or other parties covered in the register maintained under section 301 of the Companies Act, 1956. Accordingly, sub-clause (b), (c), (d), (f) and (g) are not applicable.</p> <p>(iv) In our opinion, there are adequate internal control systems commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services. During the course of our audit, we have not observed any major weaknesses in internal controls.</p> <p>(v) No transactions have been entered during the year in the register maintained in pursuance of section 301 of the Companies Act, 1956. Accordingly, sub-clause (b) is not applicable.</p> <p>(vi) In our opinion, the Company has complied with the provisions of sections 58A, 58AA or any other relevant</p> | <p>provisions of the Companies Act, 1956 and the Companies (Acceptance of Deposits) Rules, 1975, with regard to the deposits accepted from the public. As informed to us, no order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any other court or any other Tribunal.</p> <p>(vii) In our opinion, the Company has an internal audit system commensurate with its size and nature of its business.</p> <p>(viii) We have broadly reviewed, without carrying out a detailed examination, the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956 and are of the opinion that prima facie, the prescribed accounts and records are being maintained.</p> <p>(ix) (a) According to the records of the Company, the Company is generally regular in depositing with the appropriate authorities undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth-tax, Service Tax, Custom Duty, Excise Duty, Cess and any other statutory dues applicable to it. Based on our audit procedures and according to the information and explanations given to us, there are no arrears of undisputed statutory dues which remained outstanding as at 31st March 2009 for a period of more than six months from the date they became payable.</p> <p>(b) According to the records made available to us and the information and explanations given by the management, the details of the dues of Income tax / Sales tax / Wealth tax / Service Tax / Custom duty / Excise duty / Cess, which have not been deposited with the appropriate authorities on account of any dispute, are given in the Appendix to this report.</p> <p>(x) The Company does not have any accumulated losses at the end of the financial year and has not incurred cash losses during the financial year covered by our audit and in the immediately preceding financial year.</p> <p>(xi) According to the records made available to us and the information and explanations given by the management, the company has not defaulted in the</p> |
|--|---|

Annexure to The Auditors' Report (contd.)

repayment of dues to financial institutions or banks or debenture holders.

- (xii) The Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- (xiii) The Company is not a chit / nidhi / mutual benefit fund / society.
- (xiv) The Company is not dealing in or trading in shares, securities debentures and other investments.
- (xv) During the year, the Company has not given any guarantee for loans taken by others from banks or financial institutions.
- (xvi) In our opinion, the term loans availed by the Company during the year have been applied for the purposes for which they were obtained.
- (xvii) According to the information and explanations given to us and an overall examination of the balance sheet of the Company, we report that no short-term funds have been used for long-term purposes.
- (xviii) During the year, the Company has not made any preferential allotment of shares to parties and

companies covered in the register maintained under section 301 of the Companies Act, 1956.

- (xix) During the year, the company has not issued any debentures.
- (xx) The company has not raised any money by public issue during the year.
- (xxi) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India and according to the information and explanations given to us, we have neither come across any instance of material fraud on or by the Company, noticed or reported during the year, nor have we been informed of such case by the management.

For N.M. RAIJI & CO.,
Chartered Accountants

CA.Y.N. THAKKAR
Partner

Mumbai,
Date : April 29, 2009

Membership No. 33329

Appendix to Auditors' Report

Name of the Statute	Nature of the Dues	Amount(Rs. in Crores)	Financial year to which the matter pertains	Forum where dispute is pending
The Central Excise Act, 1944	Excise Duty	5.19	1997 to 1998	Supreme Court
		0.13	1997-1998	High Court
		36.51	1995-2005	CESTAT*
		0.47	1996 -2006	Commissioner (Appeals)
Service Tax (Chapter V of the Finance Act, 1944)	Service Tax	0.51	2005-2006	CESTAT*
Mumbai Provincial Municipal Corporation Act, 1944	Octroi Duty	0.22 0.01	2001 to 2003 March 2009	High Court Civil Court
State and Central Sales Tax Act	Tax, Interest and Penalty	0.30	1987 to 1990, 1994-1995	High Court
		0.87	1988-89, 1996-97, 2002-03	Tribunal
		38.81	1993-94 to 2007-08	Commissioner (Appeals)
Income Tax Act. 1961	Penalty	1.65	2003-2004	Commissioner (Appeals)

* The Customs, Excise and Service Tax Appellate Tribunal

Balance Sheet as at March 31, 2009

	SCHEDULE	As at 31.03.2009	(Rs. in Lacs) As at 31.03.2008
SOURCES OF FUNDS			
SHAREHOLDERS' FUNDS			
Share Capital	1	34,24.35	34,24.27
Reserves and Surplus	2	454,13.80	479,01.46
		488,38.15	513,25.73
LOAN FUNDS			
Secured Loans	3	398,12.43	265,39.08
Unsecured Loans	4	247,01.99	212,20.77
		645,14.42	477,59.85
DEFERRED TAX LIABILITY (Net)		16,30.38	27,30.41
		1,149,82.95	1,018,15.99
APPLICATION OF FUNDS			
FIXED ASSETS			
	5		
Gross Block		1,234,05.98	1,214,33.22
Less : Depreciation		458,67.39	427,71.14
Net Block		775,38.59	786,62.08
Capital Work-in-progress		19,56.10	3,47.88
		794,94.69	790,09.96
INVESTMENTS	6	42,66.71	9,60.23
CURRENT ASSETS, LOANS AND ADVANCES			
Inventories	7	219,41.63	341,06.00
Sundry Debtors	8	318,70.85	307,90.82
Cash and Bank Balances	9	201,51.84	41,58.70
Loans and Advances	10	79,42.64	81,42.41
		819,06.96	771,97.93
Less :			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities	11	489,05.12	528,27.32
Provisions	12	17,80.29	25,24.81
		506,85.41	553,52.13
NET CURRENT ASSETS		312,21.55	218,45.80
		1,149,82.95	1,018,15.99
Notes forming part of the Accounts	20		

As per our report attached

For N.M.Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2009

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka

Vice Chairman

M.A. Bakre

Chairman - Audit Committee

Paras K. Chowdhary

Managing Director

Mumbai, April 29,2009

Profit and Loss Account for the year ended March 31, 2009

		(Rs. in Lacs)	
	SCHEDULE	2008-2009	2007-2008
INCOME			
Sales		2,758,43.13	2,602,96.57
Less : Excise duty on Sales		244,73.88	272,99.90
Net Sales		2,513,69.25	2,329,96.67
Other Income	13	44,95.76	22,53.51
		2,558,65.01	2,352,50.18
EXPENDITURE			
Materials	14	1,704,28.51	1,478,09.64
Cost of Traded Goods Sold	15	106,64.56	70,24.54
Personnel	16	160,69.27	143,02.05
Other Expenses	17	544,85.43	471,38.32
Interest	18	65,52.56	56,93.88
Depreciation		34,52.02	32,99.12
Less : Transferred from Revaluation Reserve		8,76.94	—
Less : Transferred to Pre-Operative Expenses		13.35	—
		25,61.73	32,99.12
		2,607,62.06	2,252,67.55
Add / (Less) : Decrease / (Increase) in stock	19	(11,79.83)	(17,53.86)
		2,595,82.23	2,235,13.69
PROFIT / (LOSS) BEFORE EXCEPTIONAL ITEMS		(37,17.22)	117,36.49
Exceptional Items-Net Income		—	79,94.55
(Refer Note No.22 of Schedule 20)		—	—
PROFIT / (LOSS) BEFORE TAXATION		(37,17.22)	197,31.04
Less : Provision for Taxation			
Current Tax		9.94	43,00.00
Short/(Excess) Provision		(11,88.55)	—
Deferred Tax		(11,00.03)	4,02.32
Fringe Benefit Tax		1,72.58	1,68.28
		(21,06.06)	48,70.60
PROFIT / (LOSS) AFTER TAX		(16,11.16)	148,60.44
Add : Balance brought forward		124,55.56	41,97.61
AMOUNT AVAILABLE FOR APPROPRIATION		108,44.40	190,58.05
APPROPRIATIONS			
Proposed Dividend		—	13,69.71
Tax on Proposed Dividend		—	2,32.78
Transferred to General Reserve		—	50,00.00
		—	66,02.49
Balance carried to Balance Sheet		108,44.40	124,55.56
		108,44.40	190,58.05
Earnings Per Share - Basic & Diluted (Rs.)		(4.71)	40.06
(Refer Note No.24 of Schedule 20)			
Notes forming part of the Accounts	20		

As per our report attached

For N.M.Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2009

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka**M.A. Bakre****Paras K. Chowdhary**

Mumbai, April 29,2009

Vice Chairman

Chairman - Audit Committee

Managing Director

Cash Flow Statement for the year ended 31st March 2009

	(Rs. in Lacs)	
	31.03.2009	31.03.2008
A CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit Before Tax	(37,17.22)	197,31.04
Adjustments for :		
Depreciation	25,61.73	32,99.12
Interest income	(11,41.22)	(3,42.24)
Unrealised exchange variation (net)	5,49.67	(71.84)
Dividend income	(1,03.54)	(20.39)
Provision for Doubtful debt	2,19.17	1,08.91
Provision for Doubtful debt - Written Back	(2.03)	(21.80)
Provisions no longer required Written Back	(2,02.45)	(49.96)
Provision for Obsolescence of Stores	2,17.59	—
Advance/Bad debts Written Off	15.99	1.45
(Profit) / Loss on sale of fixed assets - Net	31.40	(60,27.79)
Exceptional items	—	(18,89.81)
Interest expense	65,53.31	56,93.88
	<u>86,99.62</u>	<u>6,79.53</u>
Operating Profit Before Working Capital Changes	49,82.40	204,10.57
Adjustments for :		
Trade and other receivables	118,48.71	(174,38.56)
Trade payable / provisions	(34,79.34)	23,57.49
	<u>83,69.37</u>	<u>(150,81.07)</u>
Cash Generated From Operations	133,51.77	53,29.50
Direct taxes paid (net of Exceptional item)	(2,30.30)	(36,68.11)
Cash Flow Before Exceptional Items	131,21.47	16,61.39
Exceptional items	—	3,86.16
Net Cash Flow from Operating Activities (A)	131,21.47	20,47.55
B CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of fixed assets	(40,87.21)	(52,53.06)
Sale of fixed assets	14,18.38	—
Purchase of Investments	(41,00.00)	(8,00.18)
Sale of Investments	8,00.00	—
Interest received	6,03.49	3,41.23
Dividend received	97.05	20.39
Net Cash Used in Investing Activities Before Exceptional Items	(52,68.29)	(56,91.62)
Exceptional items	—	118,71.67
Net Cash from Investing Activities (B)	(52,68.29)	61,80.05

Cash Flow Statement for the year ended 31st March 2009 (Contd.)

		(Rs. in Lacs)
	31.03.2009	31.03.2008
C CASH FLOW FROM FINANCING ACTIVITIES		
Share Application Money Refunded	—	—
Received out of Share kept in abeyance	—	—
Repayment of Finance Lease Liability	—	—
Interest paid	(68,44.75)	(56,90.88)
(Decrease)/Increase in borrowings	165,98.12	(14,65.63)
Dividend paid (Inclusive of Dividend Distribution Tax)	(16,13.41)	(9,67.52)
Net Cash Received/(Used) in Financing Activities (C)	81,39.96	(81,24.03)
Net (Decrease) / Increase in Cash or Cash Equivalent (A+B+C)	159,93.14	1,03.57
Cash and cash equivalents - Opening balance	41,58.70	40,55.13
Cash and cash equivalents - Closing balance	201,51.84	41,58.70
Net (Decrease) / Increase as Disclosed Above	159,93.14	1,03.57

Note :

- 1 Previous year's figures have been regrouped wherever necessary.
- 2 Closing cash & cash equivalents represents " Cash and Bank Balances " includes Rs. 39.97 lacs (Previous year Rs. 29.06 lacs) in unclaimed dividend which is not available for use by the Company.
- 3 All figures in brackets are outflows.

As per our report attached

For N.M.Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2009

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka

Vice Chairman

M.A. Bakre

Chairman - Audit Committee

Paras K. Chowdhary

Managing Director

Mumbai, April 29,2009

Schedules forming part of the Balance Sheet as at March 31, 2009

		(Rs.in Lacs)
	As at 31.03.2009	As at 31.03.2008
SCHEDULE 1		
SHARE CAPITAL		
Authorised :		
4,61,00,000 (4,61,00,000) Equity Shares of Rs. 10 each	46,10.00	46,10.00
39,00,000 (39,00,000) Preference Shares of Rs. 10 each	3,90.00	3,90.00
1,00,00,000 (1,00,00,000) Unclassified Shares of Rs. 10 each	10,00.00	10,00.00
	60,00.00	60,00.00
Issued :		
3,42,44,222 (3,42,44,222) Equity Shares of Rs. 10 each (Includes 688 (1,463) Shares offered on Right basis and kept in abeyance)	34,24.42	34,24.42
	34,24.42	34,24.42
Subscribed and paid-up :		
3,42,43,534 (3,42,42,759) Equity Shares of Rs. 10 each, fully paid-up	34,24.27	45,67.99
Less : Transfer to Capital Reserve	—	2.33
Add : Received during the year out of shares kept in abeyance	0.08	0.04
Less : Cancellation of paid-up Share capital as per scheme of arrangement	—	11,41.43
	34,24.35	34,24.27

Notes:

Of the above Equity Shares

- | | | |
|-----|-----------|---|
| (a) | 6,90,576 | Shares of Rs. 10 each were allotted pursuant to Schemes of Amalgamation without payment being received in cash. |
| (b) | 40,40,223 | Shares were allotted as fully paid Bonus Shares by capitalisation of Share Premium and General Reserve. |

Schedules forming part of the Balance Sheet as at March 31, 2009

	(Rs. in Lacs)	
	As at 31.03.2009	As at 31.03.2008
SCHEDULE 2		
RESERVES AND SURPLUS		
Capital Reserve :		
Balance - 1 April, 2008	2,71.45	2,69.13
Add : Transfer from forfeited Shares	—	2.33
	2,71.45	2,71.46
Share Premium :		
Balance - 1 April, 2008	165,23.23	165,23.08
Add : Received during the year	0.42	0.15
	165,23.65	165,23.23
Capital Redemption Reserve :	3,90.00	3,90.00
General Reserve :		
Balance - 1 April, 2008	169,15.98	118,75.98
Add : Transfer from Debenture Redemption Reserve	—	40.00
Add : Transfer from Profit and Loss Account	—	50,00.00
	169,15.98	169,15.98
Revaluation Reserve :		
Balance - 1 April, 2008	13,45.23	—
Add : Revalued during the year	—	128,24.66
(Add) /Less : Adjustments as per Scheme of Arrangement	(0.03)	114,79.43
Less : Depreciation	8,76.94	—
	4,68.32	13,45.23
Debenture Redemption Reserve :		
Balance - 1 April, 2008	—	40.00
Less : Transfer to General Reserve	—	40.00
	—	—
Profit and Loss Account	108,44.40	124,55.56
	454,13.80	479,01.46

Schedules forming part of the Balance Sheet as at March 31, 2009

	(Rs. in Lacs)	
	As at 31.03.2009	As at 31.03.2008
SCHEDULE 3		
SECURED LOANS		
Loans from Banks / Financial Institutions :		
IDBI Bank Limited - (Note 1)	9,00.00	11,25.00
ICICI Bank Limited - (Note 2)	36,76.00	45,95.00
ICICI Bank Limited - (Note 3)	60,70.19	—
The Federal Bank Limited - (Note 4)	—	62.43
Indian Bank - (Note 4)	—	26,69.38
Yes Bank Limited - (Note 5)	33,33.33	50,00.00
Exim Bank Ltd. - (Note 5)	50,00.00	—
Corporation Bank Ltd. - (Note 5)	50,00.00	—
Bank Borrowings : (Note 6)		
Cash Credit Facilities	15,81.32	24,36.76
Export Packing Credit	142,25.39	106,11.85
Vehicle loan (Note 7)	26.20	38.66
	398,12.43	265,39.08

In respect of the above loans, Rs.67,39.78 Lacs (Previous year Rs. 32,48.34 Lacs) due and repayable within a year

Notes:

- Term loan availed from IDBI Bank Limited of Rs. 9,00.00 lacs (Rs 11,25.00 lacs) is secured by first *pari passu* charge on movable and immovable properties of the Company situated at Bhandup and Nasik plants both present and future.
- ECB loan availed from ICICI Bank Limited of USD 80.00 lacs (USD 1,00.00 lacs) equivalent to Rs. 36,76.00 lacs (Rs. 45,95.00 lacs) is secured by first *pari passu* charge on all movable and immovable properties of the Company situated at Bhandup and Nasik plants, both present and future.
- ECB loan availed from ICICI Bank Limited of USD 1,25.00 Lacs (USD Nil Lacs) equivalent to Rs. 60,70.19 lacs (Rs. Nil lacs) is secured by a first *pari passu* charge on the Immovable and movable properties of the Company situated at Nasik and upcoming Project at Halol both present and future. Charge is created on the movable properties of the Company. The company is in the process of creating the charge on its immovable properties held at Nasik and upcoming Project at Halol, Gujrat.
- Term loan availed from The Federal Bank Limited of Rs. Nil (Rs 62.43 lacs) and Indian Bank of Rs Nil (Rs 26,69.00 lacs) has been repaid during the year. Pursuant to the repayment, the charge created for the term loan has been satisfied.

Schedules forming part of the Balance Sheet as at March 31, 2009

SCHEDULE 3 - SECURED LOANS (Continued)

5. Term Loan availed from Yes Bank Limited of Rs 33,33.33 lacs (Rs.50,00.00 lacs), Exim Bank of Rs.50,00.00 lacs (Rs. Nil lacs) and Corporation Bank of Rs.50,00.00 lacs (Rs.Nil lacs) has been secured by a first *pari passu* charge on the immovable property of the Company situated at CEAT Mahal, Worli, Mumbai.
6. Fund/Non fund based Working Capital facilities from Consortium of Banks led by Bank of India are secured by hypothecation of first *pari passu* charge on Inventories and Book debts and by second *pari passu* charge on immovable properties of the Company situated at Bhandup and Nasik Plants and CEAT Mahal property at Worli.
7. The vehicle loans availed from Banks and Financial Companies are secured by way of hypothecation of the vehicles financed by them.

	(Rs. in Lacs)	
	As at 31.03.2009	As at 31.03.2008
SCHEDULE 4		
UNSECURED LOANS		
Term Loan from Bank	5,00.00	5,00.00
Public Deposits	33,95.59	36,95.85
Interest Free Sales Tax Loan	22.21	22.21
Deferred Sales Tax Incentive - (SICOM LTD)	23,83.59	22,44.81
Deposits from dealers	184,00.60	147,57.90
	<u>247,01.99</u>	<u>212,20.77</u>

In respect of the above loans, Rs. 20,56.73 Lacs (Previous year Rs. 19,70.81 Lacs) due and repayable within a year

Schedules forming part of the Balance Sheet as at March 31, 2009

SCHEDULE 5

(Rs. in Lacs)

FIXED ASSETS

	COST				DEPRECIATION				NET VALUE
	As at 01.04.2008	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2009	As at 01.04.2008	For the year 2008-2009	On deductions/ Adjustments	As at 31.03.2009	As at 31.03.2009
Owned Assets									
Land									
Freehold	393,33.86	14,64.59	—	407,98.45	—	—	—	—	407,98.45
	(332,11.46)	(124,43.70)	(63,21.30)	(393,33.86)	(-)	(-)	(-)	(-)	(393,33.86)
Leasehold	26,36.36	—	—	26,36.36	1,51.00	43.18	—	1,94.18	24,42.18
	(25,83.27)	(53.09)	(-)	(26,36.36)	(1,08.04)	(42.96)	(-)	(1,51.00)	(24,85.36)
Buildings	127,90.18	69.41	—	128,59.59	30,91.53	2,71.98	—	33,63.51	94,96.08
	(129,54.45)	(2,38.13)	(4,02.40)	(127,90.18)	(29,02.72)	(2,62.87)	(74.06)	(30,91.53)	(96,98.65)
Plant and Machinery	632,16.31	11,60.52	2,44.79	641,32.04	376,72.89	28,29.93	2,39.31	402,63.51	238,68.53
	(597,52.39)	(52,41.99)	(17,78.07)	(632,16.31)	(366,02.25)	(27,42.09)	(16,71.45)	(376,72.89)	(255,43.42)
Furniture and Fixtures	7,21.16	16.52	26.20	7,11.48	5,31.92	30.95	15.95	5,46.92	1,64.56
	(7,22.30)	(13.73)	(14.87)	(7,21.16)	(5,08.09)	(34.45)	(10.62)	(5,31.92)	(1,89.24)
Vehicles	12,09.59	67.28	5,34.42	7,42.45	4,27.14	75.24	1,00.37	4,02.01	3,40.44
	(10,47.90)	(3,18.86)	(1,57.17)	(12,09.59)	(4,14.79)	(86.15)	(73.80)	(4,27.14)	(7,82.45)
Software	5,21.66	—	0.15	5,21.51	1,17.55	1,69.09	0.14	2,86.50	2,35.01
	(27.06)	(4,94.60)	(-)	(5,21.66)	(18.61)	(98.94)	(-)	(1,17.55)	(4,04.11)
	1,204,29.12	27,78.32	8,05.56	1,224,01.88	419,92.03	34,20.37	3,55.77	450,56.63	773,45.25
	(1,102,98.83)	(188,04.10)	(86,73.81)	(1,204,29.12)	(405,54.50)	(32,67.46)	(18,29.93)	(419,92.03)	(784,37.09)
Leased Assets									
Plant and Machinery	10,04.10	—	—	10,04.10	7,79.11	31.65	—	8,10.76	1,93.34
	(10,04.10)	(-)	(-)	(10,04.10)	(7,47.46)	(31.65)	(-)	(7,79.11)	(2,24.99)
	10,04.10	—	—	10,04.10	7,79.11	31.65	—	8,10.76	1,93.34
	(10,04.10)	(-)	(-)	(10,04.10)	(7,47.46)	(31.65)	(-)	(7,79.11)	(2,24.99)
	1,214,33.22	27,78.32	8,05.56	1,234,05.98	427,71.14	34,52.02	3,55.77	458,67.39	775,38.59
	(1,113,02.93)	(188,04.10)	(86,73.81)	(1,214,33.22)	(413,01.96)	(32,99.11)	(18,29.93)	(427,71.14)	(786,62.08)
Capital Work-in-Progress -Includes Advances against Capital Account									19,56.10
									(3,47.88)
Grand Total									794,94.69
									(790,09.96)

Notes

- Building includes Rs. 0.11 lakhs (Previous year Rs. 0.11 lakhs) being value of shares held in co-operative housing societies.
- Freehold Land includes land under development amounting to Rs. 14,64.59 lakhs (Previous year : Nil) for upcoming Project at Halol.
- Fixed assets cost includes assets revalued during last five years on the basis of valuation report submitted by approved valuers about their market value as summarised below :

	Gross amount written up on revaluation (Net of deletions/adjustments)	Depreciation provided upto 31.03.2009 (Net of deletions/adjustments)	(Rs in Lakhs) Amount written up (Net of depreciation/adjustments)
Land	280,62.13	1,11.06	279,51.07
Buildings	7,42.90	1,88.82	5,54.08
Plant & Machinery	90.59	5.66	84.93
	288,95.62	3,05.54	285,90.08

- Capital Work-in-progress includes pre-operative expenses incurred for upcoming Project at Halol amounting to Rs. 9,78.56 lakhs. (Refer note 15 of Schedule 20 for details)

Schedules forming part of the Balance Sheet as at March 31, 2009

(Rs.in Lakhs)					
	Face Value (Rs.)	Holdings (Nos.)	As at 31.03.2009	Holdings (Nos.)	As at 31.03.2008
SCHEDULE 6					
INVESTMENTS (At cost)					
A LONG TERM - Fully Paid					
Equity Shares					
Unquoted (Trade)					
Associated CEAT Holdings Co. Pvt. Limited.	10	1,800,000	1,18.28	1,800,000	1,18.28
Rado Tyres Limited.	10	1,606,350	41.77	1,606,350	41.77
B CURRENT					
Unquoted (Non-Trade)					
Dividend Daily Reinvest Plan	Face Value	Units		Units	
Liquid	(Rs.)	(Nos)		(Nos)	
SBI Premier Liquid Fund - Super Institutional -	10	—	—	1,994,164.87	2,00.06
Birla Cash Plus Institutional Premium Plan	10	2,994,614.40	3,00.05	3,992,982.19	4,00.08
Reliance Liquidity Fund	10	—	—	1,999,785.16	2,00.04
Fidelity Cash Fund Institutional	10	6,016,396.04	6,01.65	—	—
Fidelity Cash Fund Super Institutional	10	3,998,501.33	4,00.06	—	—
Templeton India Treasury Management Account Super Institutional Plan	10	70,051.89	7,00.99	—	—
DWS Insta Cash Plus Fund - Super Institutional Plan	10	3,993,228.53	4,00.12	—	—
Liquid Plus					
Birla Sun Life Savings Fund - Institutional	10	10,011,069.39	10,01.78	—	—
ICICI Prudential Flexible Income Plan Premium	10	6,639,403.96	7,02.01	—	—
Total			42,66.71		9,60.23

Schedules forming part of the Balance Sheet as at March 31, 2009

(Rs.in Lakhs)					
	Face Value	Holdings	As at	Holdings	As at
	(Rs.)	(Nos.)	31.03.2009	(Nos.)	31.03.2008
SCHEDULE 6					
INVESTMENTS (At cost) (Continued)					
Notes :					
Following investments were purchased and sold during the year					
Non trade Current unquoted	Face Value	Units			
	Rs.				
Dividend Daily Reinvest Plan					
Liquid - Daily Dividend Reinvest Plan					
Templeton India Treasury Management Account - Super Institutional Plan	10	185,000,000.00			
DWS Insta Cash Plus Fund - Regular Plan	10	70,000,000.00			
DWS Insta Cash Plus Fund - Institutional Plan	10	295,000,000.00			
DWS Insta Cash Plus Fund - Super Institutional Plan	10	150,000,000.00			
Fidelity Cash Fund Institutional	10	10,000,000.00			
Fidelity Cash Fund Super Institutional	10	100,000,000.00			
ICICI Prudential Institutional Liquid Plan - Super Institutional	10	305,000,000.00			
Birla Sun Life Cash Manager - IP	10	100,000,000.00			
Birla Sun Life Cash Plus - Institutional Premium	10	284,982,484.16			
SBI Premier Liquid Fund - Super Institutional	10	100,000,000.00			
SBI Premier Liquid Fund - Institutional growth	10	30,000,000.00			
Reliance Liquid Fund - Treasury Plan - Institutional	10	50,000,000.00			
Reliance Liquidity Fund	10	464,982,082.34			
LIC Liquid Fund	10	660,361,146.79			
UTI Liquid Cash Plan Institutional	1,000	40,000,000.00			
UTI Money Market Fund	10	200,000,000.00			
Liquid Plus - Daily Dividend Reinvest Plan					
Birla Sun Life Savings Fund - Institutional	10	100,017,515.84			
DSP Black Rock Money Manager Fund - Institutional Plan	10	60,000,000.00			
Reliance Money Manager Fund - Institutional	10	100,017,917.66			
LIC Liquid Plus Fund	10	174,638,853.21			

Schedules forming part of the Balance Sheet as at March 31, 2009

			(Rs.in Lacs)	
			As at 31.03.2009	As at 31.03.2008
SCHEDULE 7				
INVENTORIES				
Stores and Spares (Net)			17,78.38	17,13.95
Stock - in - Trade :				
Raw Materials [(including in transit Rs. 9,95.48 Lacs) (Previous year Rs.40,98.38 Lacs)]			65,53.97	186,59.72
Semi-Finished Goods			17,20.79	22,52.06
Finished Goods [(including in transit Rs.93.43 Lacs) (Previous year Rs.10,68.76 Lacs)]			118,88.49	114,80.27
			<u>219,41.63</u>	<u>341,06.00</u>
SCHEDULE 8				
SUNDRY DEBTORS				
Debts outstanding for a period exceeding six months				
Considered Good			1,56.19	86.53
Considered Doubtful			2,82.81	93.82
Less : Provided for			<u>2,82.81</u>	<u>93.82</u>
			1,56.19	86.53
Other Debts				
Considered Good			317,14.66	307,04.29
			<u>318,70.85</u>	<u>307,90.82</u>
	As at 31.03.2009	As at 31.03.2008		
Sundry Debtors				
Secured	147,20.28	109,50.32		
Unsecured	<u>171,50.57</u>	<u>198,40.50</u>		
Total	<u>318,70.85</u>	<u>307,90.82</u>		
SCHEDULE 9				
CASH AND BANK BALANCES				
Cash on Hand			88.75	44.39
[Including cheques on hand Rs. 57.95 Lacs (Previous Year Rs.20.30 Lacs)]				
Remittance in Transit			26,83.72	27,53.49
With Scheduled Banks :				
In Current Accounts			15,35.13	9,28.41
In Deposit Accounts			157,99.26	3,13.39
In Margin Deposit Accounts*			5.01	89.96
In Unclaimed Dividend Accounts			<u>39.97</u>	<u>29.06</u>
			<u>201,51.84</u>	<u>41,58.70</u>
* Lodged with Banks.				

Schedules forming part of the Balance Sheet as at March 31, 2009

	(Rs.in Lacs)	
	As at 31.03.2009	As at 31.03.2008
SCHEDULE 10		
LOANS AND ADVANCES		
Advances receivable in Cash or Kind or for Value to be received	23,81.65	28,68.60
Balances with Customs, Port Trust , Excise , etc.	28,72.19	35,12.50
Advance payment of Tax (net of provision)	18,98.15	6,61.05
Interest Receivables	7,01.23	99.50
Other Receivables	89.42	10,00.76
Loan, Advances and Deposits (considered doubtful)	31.54	1,11.28
Less : Provided for	31.54	(1,11.28)
	<u>79,42.64</u>	<u>81,42.41</u>
SCHEDULE 11		
CURRENT LIABILITIES		
Acceptances	142,61.22	106,67.18
Sundry Creditors :		
Due to Micro, Small and Medium Enterprises (Refer note no.18 of Schedule 20)	—	—
Due to Others	294,96.17	370,39.33
	<u>294,96.17</u>	
Interest Accrued but not due	5,28.88	6,03.90
Deposit from Others	54.12	54.40
Other Liabilities	45,24.58	44,33.30
Liability towards Investors Education and Protection Fund under Section 205C of the Companies Act, 1956.		
Due as at end of the year	—	—
Not due as on 31.03.2009		
Unclaimed Dividends	39.97	29.06
Unclaimed interest and matured Deposits	0.18	0.15
	<u>40.15</u>	<u>—</u>
	<u>489,05.12</u>	<u>528,27.32</u>
SCHEDULE 12		
PROVISIONS		
Proposed Dividend	—	13,69.71
Corporate Tax on Proposed Dividend	—	2,32.78
Additional Excise Duty	—	2,73.36
Retirement and other Employee Benefits	17,80.29	6,48.96
	<u>17,80.29</u>	<u>25,24.81</u>

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2009

	(Rs.in Lacs)	
	2008-2009	2007-2008
SCHEDULE 13		
OTHER OPERATING INCOME		
Foreign Exchange Fluctuation (Net)	50.67	—
Sale of Scrap	9,34.15	7,20.68
Profit on Sale of Assets	9.55	35.86
Interest (Tax deducted at Source Rs.1,42.69 Lacs (Previous year Rs.20.03 Lacs)	11,41.22	3,42.24
Royalty	1,65.89	1,23.54
Provisions for Doubtful Debts / Advances Written Back	2.03	21.80
Provisions no longer required written back	2,02.45	49.96
Dividend on Investments	1,03.54	20.39
Miscellaneous	18,86.26	9,39.04
	<u>44,95.76</u>	<u>22,53.51</u>
SCHEDULE 14		
MATERIALS		
Raw Materials		
Stock - 1st April, 2008	145,61.34	51,05.88
Add : Purchases	1,614,25.66	1,572,65.10
	<u>1,759,87.00</u>	<u>1,623,70.98</u>
Less : Stock - 31st March, 2009	55,58.49	145,61.34
	<u>1,704,28.51</u>	<u>1,478,09.64</u>
SCHEDULE 15		
COST OF TRADED GOODS SOLD		
Stock - 1st April, 2008	7,67.47	1,80.63
Add : Purchases	108,14.26	76,11.38
	<u>115,81.73</u>	<u>77,92.01</u>
Less : Stock - 31st March, 2009	9,17.17	7,67.47
	<u>106,64.56</u>	<u>70,24.54</u>
SCHEDULE 16		
PERSONNEL		
Salaries, Wages and Bonus	130,66.07	116,66.04
Provident Fund, Gratuity Fund and Superannuation Scheme etc.	15,35.43	10,54.42
Welfare Expenses	14,67.77	15,81.59
	<u>160,69.27</u>	<u>143,02.05</u>

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2009

(Rs.in Lacs)

	2008-2009	2007-2008
SCHEDULE 17		
OTHER EXPENSES		
Conversion Charges	75,00.26	82,87.31
Stores and Spares Consumed	16,08.92	12,72.95
Provision for Obsolescence of Stores	2,17.59	—
Power and Fuel	90,53.99	80,16.11
Freight and Delivery Charges	79,14.16	71,47.15
Rent	7,10.97	3,11.22
Rates and Taxes	5,03.03	4,32.82
Insurance	1,71.05	1,47.91
Repairs :		
Machinery	10,68.95	12,03.13
Buildings	3,22.79	2,94.33
Others	1,03.03	1,01.09
	14,94.77	
Travelling and Conveyance	11,99.59	12,64.07
Printing and Stationery	1,22.92	1,15.54
Directors' Fees	8.10	8.30
Auditors' Remuneration :		
Audit Fees	22.00	18.00
Taxation Matters	0.44	0.44
Other Services (Certification, Tax Audit, etc.)	19.29	17.90
Reimbursement of Expenses	3.17	5.77
	44.90	
Advertisement and Sales Promotion Expenses	22,19.00	17,32.01
Rebates and Discounts	141,78.72	100,17.15
Commission	34,97.69	31,03.15
Communication Expenses	3,98.29	3,75.05
Advances Written off	79.74	3.32
Less : Provision for doubtful advances written back to the extent provided	79.74	—
Bad Debts Written off	44.14	32.34
Less : Provision for doubtful debts written back to the extent provided	28.15	15.99
Provision for Doubtful Debts / Advances	2,19.17	1,08.91
Loss on Assets Sold / Discarded	40.95	1,12.81
Factory Expenses	2,35.22	1,95.64
Legal Charges	95.94	1,43.88
Finance Charges	14,41.41	9,52.87
Foreign Exchange Fluctuations (Net)	—	15.39
Professional and Consultancy Charges	6,43.94	6,13.72
General Expenses	9,48.86	11,18.92
	544,85.43	471,38.32

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2009

(Rs.in Lacs)

	2008-2009	2007-2008
SCHEDULE 18		
INTEREST		
On Term Loans	24,13.24	20,59.32
Others	41,39.32	36,34.56
	<u>65,52.56</u>	<u>56,93.88</u>
SCHEDULE 19		
DECREASE / (INCREASE) IN STOCK		
Stock - 1st April, 2008		
Semi-Finished	22,52.06	22,24.78
Finished	96,44.07	76,79.34
	<u>118,96.13</u>	<u>99,04.12</u>
Stock - 31st March, 2009		
Semi-Finished	17,20.79	22,52.06
Finished	108,77.89	96,44.07
	<u>125,98.68</u>	<u>118,96.13</u>
	<u>(7,02.55)</u>	<u>(19,92.01)</u>
Differential Excise Duty on Opening and Closing Stock of Finished Goods	(4,77.28)	2,38.15
	<u>(11,79.83)</u>	<u>(17,53.86)</u>

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20

NOTES FORMING PART OF THE ACCOUNTS

1) Significant Accounting Policies

A) Fixed Assets

Fixed Assets are stated at cost / revalued cost wherever applicable. Cost comprises of cost of acquisition, cost of improvements, borrowing cost and any attributable cost of bringing the asset to the condition for its intended use. Cost also includes direct expenses incurred upto the date of capitalisation / commissioning.

Leased Assets comprise of assets acquired under Finance Leases which have been stated at cost of acquisition plus entire cost component amortizable over the useful life of these assets.

B) Borrowing Cost

Borrowing costs include interest, fees and other charges incurred in connection with the borrowing of funds and is considered as revenue expenditure for the year in which it is incurred except for borrowing costs attributed to the acquisition / improvement of qualifying capital assets and incurred till the commencement of commercial use of the asset and which is capitalised as cost of that asset.

C) Depreciation

Depreciation is provided on the Straight Line Method, at the rates prescribed in Schedule XIV to the Companies Act, 1956. Certain Plants have been treated as Continuous Process Plants based on technical and other evaluations.

Leasehold land is amortised over the period of the lease.

Software expenditure have been amortised over a period of three years.

D) Investments

Investments being long term are stated at cost. Provision against diminution in the value of investments is made in case diminution is considered as other than temporary, as per criteria laid down by the Board of Directors after considering that such investments are strategic in nature.

Current Investment is stated at lower of cost or fair value.

E) Inventories

Raw materials, Stores and spares and Stock-in-process are valued at weighted average Cost. Finished Goods are valued at lower of cost or net realisable value. Material-in-transit is valued at cost.

F) Revenue Recognition

Sales are recognised on despatch to customers. Sales include excise duty but exclude sales tax.

Interest is accounted on an accrual basis.

Dividend is accounted when right to receive payment is established.

G) Export Incentive

Export Incentives are recognised in the year of entitlement and credited to the Raw Material Consumption Account.

H) Foreign Currency Transactions

Foreign currency transactions other than those covered by forward contracts are recorded at current rates.

Forward premia in respect of forward exchange contracts are recognised over the life of the contract.

Monetary Assets and Liabilities denominated in foreign currency are restated at year-end rates.

All exchange gains and losses arising out of transaction/restatement, are accounted for in the Profit and Loss Account except for those which relate to the acquisition of Capital Assets acquired out of long term foreign currency borrowing are adjusted to the cost of the Asset.

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

I) Lease Rentals

The cost components in respect of Finance Leases is being amortised over the primary lease period or effective life of the Assets as depreciation on Leased Assets and the interest component is charged as a period cost.

Secondary Lease rentals are being charged to Profit and Loss Account.

Leases that do not transfer substantially all the risks and rewards of ownership are classified as Operating Leases and recognised as expenses as and when payments are made over the lease term.

J) Research and Development

Revenue expenditure on Research and Development is recognised in the year in which it is incurred.

Capital expenditure is shown as an addition to the fixed assets and are depreciated at applicable rates.

K) Employee Benefits**a. Defined Contribution Plan**

Contribution to Defined Contribution Schemes such as Provident Fund, Superannuation, Employees State Insurance Corporation and Labour Welfare Fund are charged to the Profit and Loss account as and when incurred.

b. Defined Benefit Plan

The Company also provides for retirement / post-retirement benefits in the form of Gratuity and Leave Encashment. Company's liability towards these benefits is determined using Project Unit Credit Method. These benefits are provided based on the Actuarial Valuation as on Balance Sheet date by an Independent Actuary.

c. Short term benefits are recognized as an expense in the profit and loss account of the year in which the related service is rendered.

d. Long term leave benefits are provided as per actuarial valuation as on Balance Sheet date by an independent Actuary using Project Unit Credit Method.

e. Termination benefits are recognized as an expense as and when incurred.

L) Taxes on Income

a) **Current Tax:** Current Tax is determined in accordance with the provisions of Income Tax Act, 1961.

b) **Deferred Tax Provision:** Deferred tax is recognised on timing differences between the accounting income and the taxable income for the year, and quantified using the tax rates and laws enacted or substantively enacted on the Balance Sheet date.

Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised.

	2008-09	2007-08
2) Contracts remaining to be executed:		
Estimated amount of contracts remaining to be executed on Capital Account and not provided for - net of advance payments	40,92.21	3,60.99
3) Contingent Liabilities:		
a) Direct and Indirect Taxation Matters on which there are decisions of the appellate authorities in the Company's favour, but appeals made by tax authorities		
Income Tax	2,04.60	2,04.82
Wealth Tax	7.26	7.26
Excise Duty	40,88.52	47,01.72
Sales Tax	1.56	1.56
b) Direct and Indirect Taxation matters in respect of which the Company is in appeal		
Income Tax	2,24.70	31.45
Wealth Tax	3.56	5.99
Excise Duty	2,15.58	1,87.04
Sales Tax	40,69.85	1,55.91

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

	2008-09	2007-08
c) Disputed demands of Octroi Duty	1,43.79	85.00
d) Bills discounted with Banks and Finance Companies	20,53.19	63,42.91
e) Corporate Guarantees given on behalf of others		
- Covered by indemnity undertakings from RPG Enterprises Ltd.	25,50.00	25,50.00
f) The Company has given Indemnity in respect of Lease transactions entered into with ICICI Bank Ltd., liability for which is indeterminable		
4) Claims against the Company not acknowledged as Debts (Estimated):		
i) in respect of labour matters	9,33.62	7,69.17
ii) other claims	10,36.24	10,36.24
5) Remuneration to Managing Director		
Salaries	1,68.60	1,43.47
Allowances and Perquisites	19.15	6.47
Contribution to Provident and Superannuation Funds and Gratuity	27.39	21.23
	2,15.14	1,71.17

Note:

The above remuneration is exceeding the limits under section 198 of the Companies Act, 1956, read along with the Provisions laid down in schedule XIII. The excess amount is approved by the Members as per results of postal ballot dated 24th April, 2009, but is subject to approval of The Central Government.

6) Production, Sales and Stocks of each class of manufactured goods / traded goods:

Class of goods	Licensed Capacity	Installed Capacity (1)	Opening Stock	Production (2)	Purchase	Closing Stock	Gross Sales
Automotive Tyres							
Nos. in Lacs	49.47	45.42	4.84	72.29	2.07	4.82	74.38
	(49.47)	(45.42)	(4.26)	(78.95)	(2.30)	(4.84)	(80.68)
Value	---	---	83,67.36	---	99,23.26	82,57.97	2,473,94.44
	(---)	(---)	(59,89.01)	(---)	(76,11.38)	(83,67.36)	(2,344,81.09)
Automotive Tube							
Nos. in Lacs	49.47	---	7.38	76.13	1.00	10.66	73.94
	(49.47)	(---)	(8.86)	(86.12)	(---)	(7.38)	(87.60)
Value	---	---	15,97.24	---	8,54.00	30,58.82	242,28.03
	(---)	(---)	(16,68.78)	(---)	(---)	(15,97.24)	(221,79.91)
Automotive Flaps							
Nos. in Lacs	---	---	2.94	23.24	---	2.89	23.48
	(---)	(---)	(1.66)	(27.33)	(---)	(2.94)	(26.05)
Value	---	---	4,46.95	---	37.00	4,77.47	42,18.03
	(---)	(---)	(2,02.18)	(---)	(---)	(4,46.94)	(36,33.74)
Others – Value	---	---	---	---	---	0.80	2.63
	(---)	(---)	(---)	(---)	(---)	(---)	(1.83)
Total Value	---	---	104,11.55	---	108,14.26	117,95.07	2,758,43.13
	---	---	(78,60.97)	(---)	(76,11.38)	(104,11.54)	(2,602,96.57)
(1) Installed Capacity is as certified by the Management.							

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

(2) Production quantity includes the following procured under conversion basis. (Nos. in Lacs)

	Current Year	Previous Year
Automotive Tyres	38.18	41.27
Automotive Tubes	76.13	86.12
Automotive Flaps	23.24	27.33
Total	1,37.55	1,54.72

7) Raw Materials Consumed:

	2008-09		2007-08	
	Quantity (M.T)	Value	Quantity(M.T)	Value
Rubber	7,78,55	992,37.99	8,44,19	826,88.33
Fabrics	1,40,26	297,36.34	1,58,17	274,72.34
Carbon Black	3,64,81	198,50.37	4,05,84	170,62.24
Chemicals	2,07,79	144,14.67	2,13,90	139,78.32
Others		71,89.14		66,08.41
Total		1,704,28.51		1,478,09.64

8) Value of Imports calculated on CIF basis:

	2008-09	2007-08
Raw Materials	601,89.11	534,52.90
Traded Goods	71,82.32	56,63.18
Components and Spares	1,00.73	26.73
Capital Goods	8,85.63	12,91.55

9) Expenditure in Foreign Currency:

	2008-09	2007-08
Interest	9,72.15	7,42.15
Travelling	1,15.71	1,16.11
Others	2,64.80	2,60.82

10) Value of Imported/Indigenous Raw Materials/Stores and Spares consumed:

	2008-09		2007-08	
	%	Value	%	Value
Raw Materials				
Imported	41.05	699,53.76	35.95	531,49.76
Indigenous	58.95	1,004,74.75	64.05	946,59.88
	100.00	1,704,28.51	100.00	1,478,09.64
Stores and Spares				
Imported	10.22	1,64.51	2.97	37.86
Indigenous	89.78	14,44.41	97.03	12,35.09
	100.00	16,08.92	100.00	12,72.95

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

	2008-09	2007-08
11) Dividend Remittance in Foreign currency :		
Amount remitted (Net)	71.29	42.78
Number of Non-resident Shareholders	2	2
Number of Shares on which remittance was made	17,82,385	23,76,515
Year for which the Dividend was paid	2007-08	2006-07
12) Earnings in Foreign Currency:		
Export Sales calculated on FOB basis	490,17.21	481,96.83
Royalty	1,65.13	1,23.54
Dividend	25.67	14.03
Others	1,00.47	18.40
13) Research & Development Expenses:		
Capital	1,23.72	1,31.57
Revenue	2,90.41	2,06.96

14) Operating Lease

The Company has entered into a sale and lease back agreement with the leasing company for vehicles, resulting in a non-cancellable operating lease as defined in "AS 19" (Leases).

Lease rental on the said lease of Rs.1,14.30 Lacs (Previous year Rs.Nil Lacs) has been charged to Profit and Loss Account.

Future Minimum Lease Payment	As on 31.03.2009	As on 31.03.2008
For a period not later than one year	2,25.04	—
For a period later than one year but not later than five years	3,45.22	—

15) Pre-Operative Expenses pending capitalisation

Particulars	Amount	Amount
Rent	10.33	—
Depreciation	13.35	—
Travelling and Conveyance	28.61	—
General Expenses	39.30	—
Technical Know-how	62.99	—
Consultancy and Professional Fees	63.76	—
Finance Charges	82.90	—
Personnel Cost	1,15.90	—
Interest on Loan	2,80.52	—
Project Appraisal Charges	3,45.00	—
	10,42.66	—
Less : Interest received	64.10	—
Total	9,78.56	—

16) Exchange Differences recognised in Profit and Loss Account

Net foreign exchange loss recognised in Profit and Loss Account of Rs.34,80.14 Lacs (Previous year gain of Rs.13,96.46 Lacs) is in addition to net foreign exchange gain of Rs.50.67 Lacs (Previous year loss of Rs. 15.39 Lacs) disclosed separately in Profit and Loss Account as the same have been included under appropriate heads of items in the Profit and Loss Account.

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

17) Retirement Benefits

The required disclosure under the Revised Accounting Standard 15 is given below

Brief description: The type of Defined Benefit Plans is as follows.

Gratuity

The Employees Gratuity Fund Scheme managed by Life Insurance Corporation of India is a Defined Benefit Plan. The present value obligation is determined based on actuarial valuation using projected unit credit method.

Leave Encashment

The present value obligation of Leave Encashment is determined based on actuarial valuation using Projected Unit Credit Method.

i) Change in Defined Benefit obligation during the year ended March 31, 2009

Sr. No.	Particulars	2008-09 Gratuity (Funded)	2008-09 Leave Encashment (Unfunded)	2007-08 Gratuity (Funded)	2007-08 Leave Encashment (Unfunded)
1.	Present value of Defined Benefit obligation as at April 1, 2008	36,60.48	6,48.95	34,94.48	7,52.53
2.	Current Service Cost	1,84.54	3,34.09	1,84.54	4,12.18
3.	Interest Cost / Actuarial (gain) / Loss on obligation	7,59.82	(1,04.95)	2,87.64	(3,66.04)
4.	Benefits paid	(3,70.96)	(1,48.43)	(3,06.18)	(1,49.72)
5.	Present value of obligation as at March 31, 2009.	42,33.88	7,29.66	36,60.48	6,48.95

ii) Changes in Fair value of Plan Assets during the year ended March 31, 2009

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Fair value of Plan Assets as at April 1 2008	36,91.58	---	33,01.81	---
2.	Expected return on Plan Assets	3,32.64	---	3,00.61	---
3.	Contributions made	8.77	1,48.43	3,84.34	1,49.72
4.	Benefits paid	(3,70.96)	1,48.43	(3,06.18)	(1,49.72)
5.	Actuarial gain / (Loss) on Plan Assets	---	---	11.01	---
6.	Fair value of Plan Assets as at March 31, 2009	36,62.03	---	36,91.58	---

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

iii) Expenses recognized in the statement of Profit & Loss Account for the year ended March 31, 2009

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Current Service Cost	1,84.54	3,34.09	1,84.54	4,12.18
2.	Interest Cost / Actuarial (gains) and losses (Net)	7,59.82	(1,04.95)	2,87.64	(3,66.04)
3.	Expected return on Plan Assets	(3,32.64)	---	(3,00.61)	---
4.	Total included in Employee Benefit expense	6,11.72	2,29.14	1,71.56	46.15

Amount recognized as an expense / (income) and included in Schedule 16 "Salaries, Wages and Bonus" includes Rs.6,85.37 Lacs towards Leave Encashment, "Provident Fund, Gratuity Fund and Superannuation Scheme, etc" includes Rs.5,98.30 Lacs towards Gratuity.

iv) Net Assets / (Liability) recognized in the Balance Sheet as at March 31, 2009.

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Present value of the Defined Benefit obligation as at March 31, 2009	42,33.88	7,29.66	36,60.48	6,48.95
2.	Fair value of Plan Assets as at March 31, 2009	36,62.03	---	36,91.58	---
3.	Net Assets / (Liability) recognized in the Balance Sheet	(5,71.85)	(7,29.66)	---	(6,48.95)

v) Actual return on Plan Assets for the year ended March 31, 2009

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Expected return on Plan Assets	3,32.64	---	3,00.61	---
2.	Actuarial gain / (loss) on Plan Assets	---	---	11.01	---
3.	Actual return on Plan Assets	3,32.64	---	3,11.62	---

vi) Percentage of each category of Plan Assets to Total Fair Value of plan Assets

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Insurer Managed Fund	100%	-	100%	-

vii) Principal Actuarial assumption at the Balance Sheet date

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Discount Rates	8.00%	8.00%	8.00%	7.50%
2.	Annual increase in salary	4.00% LIC(1994-96)	4.00% LIC(1994-96)	4.00% LIC(1994-96)	4.00% LIC(1994-96)
3.	Mortality Rate	Ultimate	Ultimate	Ultimate	Ultimate

The estimates of future salary increases, considered in actuarial valuation, take account of inflation, seniority and other relevant factors, such as supply and demand in then employment market.

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

viii) Details of Previous Years

	08-09	07-08	06-07	05-06	04-05
Gratuity Funded					
Present value of Defined Benefit obligation as at the year end.	42,33.88	36,60.48	34,94.48	31,94.11	28,98.45
Fund value as at the year end	36,62.03	36,91.58	33,01.05	27,10.03	25,33.68
Surplus / (Deficit)	(5,71.85)	31.10	(1,93.44)	(4,84.08)	(3,64.77)
Net Assets / (Liability) recognised in the Balance Sheet	(5,75.29)	—	(1,95.00)	(4,84.08)	(3,75.77)
Leave Encashment (Unfunded)					
Present value of Defined Benefit obligation as at the year end.	7,29.66	6,48.95	7,52.53	7,04.18	6,24.39
Fund value as at the year end	—	—	—	—	—
Surplus / (Deficit)	(7,29.66)	(6,48.95)	(7,52.53)	(7,04.18)	(6,24.39)
Net Assets / (Liability) recognised in the Balance Sheet	(7,29.66)	(6,48.95)	(7,52.53)	(7,00.00)	(6,52.42)

- ix) The contribution expected to be paid to the Gratuity fund during the annual period beginning after the Balance Sheet date is Rs.2,13.67 Lacs.
- x) Long Term Liability includes Rs.1,04.96 Lacs on account of Privilege Leave long term benefits and Rs.1,36.42 Lacs on account of compensated sick leave absences.

18) Micro and Small Scale Business Entities:

There are no Micro and Small Enterprises, to whom the Company owes dues, which are outstanding for more than 45 days as at March 31, 2009. This information as required to be disclosed under the Micro, Small and Medium Enterprise Development Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company, This has been relied upon by the Auditors.

19) Major components of Deferred Tax Assets and Deferred Tax Liabilities:

Particulars	2008-09	2007-08
Assets		
Carried forward tax losses and depreciation	9,78.15	—
Disallowance under section 43B of the Income Tax Act	2,63.17	3,04.86
	<u>12,41.32</u>	<u>3,04.86</u>
Liability		
Difference between book and tax depreciation	28,71.70	30,35.27
	<u>28,71.70</u>	<u>30,35.27</u>
Deferred Tax Liability (Net)	<u>(16,30.38)</u>	<u>(27,30.41)</u>

20) Disclosure of related parties/related party transactions:

- a) Related parties: (As certified by the Management)
- (i) Related parties:
- Associated CEAT Holdings Company (Pvt.) Limited (*),
 - CEAT-Kelani Associated Holdings Company (Pvt.) Limited (*),
 - Associated CEAT (Pvt.) Limited,
 - CEAT-Kelani International Tyres (Pvt.) Limited,
 - ACT Limited (*),
 - Associated CEAT Kelani Radials Limited
 - Rado Tyres Limited

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

(ii) Key Management Personnel :

* Mr. Paras K. Chowdhary, Managing Director

(*) Indicates no transactions during the year with these related parties.

b) The following transactions were carried out during the year with the related parties in the ordinary course of business:

Other Related Parties

Transactions	2008-09	2007-08
1. Reimbursement of Expenses	62.87	41.26
2. Dividend received	25.67	14.03
3. Export Sales	—	39.80
4. Royalty Received/Receivable	1,66.10	1,23.54
5. Imports of traded goods	30,20.10	42,61.10
6. Conversion charges paid/payable	2,61.32	5,40.11
Amount due to / from related parties		
1. Debtors for Expenses	1,50.71	80.60
2. Debtors for Export	—	2.70
3. Loans, Advances and Deposits given	74.81	1,60.83
4. Royalty receivable	1,43.48	66.13
5. Creditors	15,26.94	13,13.76
6. Investments in Shares and debentures	1,60.04	1,60.04

Transactions with Mr. Paras K. Chowdhary, Managing Director being the remuneration paid to him have been given in Note No. 5 of Schedule 20.

21) Disclosures as required under clause 32 of listing agreement.

- Loans and Advances in the nature of Loans to Associates Rs. Nil (Previous year Rs. Nil)
- Loans and Advances in the nature of Loans where there is no repayment schedule, or no interest or interest below Section 372A of Companies Act, 1956: Rs. Nil (Previous year Rs.Nil)
- Loans and Advances in the nature of Loans to firms / Companies in which Directors are interested: Rs. Nil (Previous year Rs.Nil)
- Investment by the Loanee in shares of the Company as at March 31, 2009 is Nil.

22) Exceptional Items: include the followings for the year ended March 31, 2009

	2008-09	2007-08
Excess Provision of Income Tax – Refund	—	4,55.23
Interest on Income Tax Refund	—	10,48.42
Credit of Excise Duty	—	6,59.37
Octroi Refund Received	—	3,79.79
Profit on transfer of Land	—	62,33.08
	—	87,75.89
Less :		
Reversal of Export Incentive	—	6,53.00
Loss on transfer of Building	—	1,28.34
	—	7,81.34
Net	—	79,94.55

Schedule forming part of the Accounts for the year ended March 31, 2009.

SCHEDULE 20 (Continued)

(Rs. in Lacs)

23) Segment Reporting:

Considering the organisation structure, nature of products and risk and return profile based on geographical distribution, the tyre business is considered as a single segment.

24) Earnings Per Share (EPS):

	2008-09	2007-08
a) Weighted Average Number of shares at the beginning and end of the year	342,43,534	370,96,226
b) Net Profit / (Loss) after Tax available for Equity Shareholders (Rupees in Lacs)	(16,11.16)	148,60.44
c) Face value per share (Rupees)	10	10
d) Basic and Diluted Earnings Per Share (Rupees)	(4.71)	40.06

25) Auditor's Remuneration:

Other Services shown in Schedule 17 includes an Amount of Rs.0.80 Lacs (Previous year Rs.0.70 Lacs) Audit Fees paid to Cost Auditor.

26) Dividend on Investments includes dividend on trade investments Rs. 25.67 Lacs and non-trade investments Rs. 77.87 Lacs

27) Provision for Taxation includes provision for Wealth Tax Rs. 9.94 Lacs

28) Previous year's figures have been regrouped wherever necessary to conform to current Year's classification.

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE (in term of amendment to schedule VI part IV) is given below.

I. Registration Details

Registration No.

				1	1	0	4	1
--	--	--	--	---	---	---	---	---

State Code

							1	1
--	--	--	--	--	--	--	---	---

Balance sheet date

31-03-2009

II. Capital raised during the year (Amount in Rs. Lacs)

Public issue

						N	I	L
--	--	--	--	--	--	---	---	---

Right issue

						N	I	L
--	--	--	--	--	--	---	---	---

Bonus issue

						N	I	L
--	--	--	--	--	--	---	---	---

Private Placement

						N	I	L
--	--	--	--	--	--	---	---	---

III. Position of Mobilisation and Deployment of funds (Amount in Rs. Lacs)

Total Liabilities

1	1	4	9	8	2	.	9	5
---	---	---	---	---	---	---	---	---

Total Assets

1	1	4	9	8	2	.	9	5
---	---	---	---	---	---	---	---	---

Sources of Funds

Paid up Capital

		3	4	2	4	.	3	5
--	--	---	---	---	---	---	---	---

Reserves and Surplus

	4	5	4	1	3	.	8	0
--	---	---	---	---	---	---	---	---

Secured Loans

	3	9	8	1	2	.	4	3
--	---	---	---	---	---	---	---	---

Unsecured Loans

	2	4	7	0	1	.	9	9
--	---	---	---	---	---	---	---	---

Deferred Tax Liability

		1	6	3	0	.	3	8
--	--	---	---	---	---	---	---	---

(net)

Application of Funds

Net Fixed Assets

	7	9	4	9	4	.	6	9
--	---	---	---	---	---	---	---	---

Investments

		4	2	6	6	.	7	1
--	--	---	---	---	---	---	---	---

Net Current Assets

	3	1	2	2	1	.	5	5
--	---	---	---	---	---	---	---	---

Misc. Expenditure

						N	I	L
--	--	--	--	--	--	---	---	---

Accumulated Losses

						N	I	L
--	--	--	--	--	--	---	---	---

IV. Performance of Company (Amount in Rs. Lacs)

Turnover

2	5	5	8	6	5	.	0	1
---	---	---	---	---	---	---	---	---

Total Expenditure

2	5	9	5	8	2	.	2	3
---	---	---	---	---	---	---	---	---

(Includes Other income)

Loss before tax

(	3	7	1	7	.	2	2	)
---	---	---	---	---	---	---	---	---

Loss after tax

(	1	6	1	1	.	1	6	)
---	---	---	---	---	---	---	---	---

Earning per share in Rs.(4.71)

Dividend rate % -

						N	I	L
--	--	--	--	--	--	---	---	---

V. Generic names of three principal products / services of the company

(as per monetary terms)

Item Code No.	4011	4012	4013
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Product Description	Automotive Tyres	Flaps	Tubes
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Signatories to Schedule '1' to '20'

As per our report attached

On behalf of the Board of Directors

For N.M.Raiji & Co.,
Chartered Accountants

Sunil Sapre
Chief Financial Officer

H.V. Goenka

Vice Chairman

CA Y.N. Thakkar
Partner

H.N. Singh Rajpoot
Company Secretary

M.A. Bakre

Chairman - Audit Committee

Paras K. Chowdhary

Managing Director

Mumbai, April 29,2009

Mumbai, April 29,2009



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